November 2026
Financial and OEM review

Current research: 6 November 2026 | Framework 8.0 | USD / all-class diluted-equivalent share

Q4 2027 ceiling $884.50 | Analytical Base 75 | Excel Base 75

The current forecast appears first. The complete 21 October analysis follows in a dated historical appendix. Earlier forecasts and their original information vintage remain visible.

Decision in the current model

The current review retains the Q4 2027 ceiling at $884.50 per all-class diluted-equivalent share. The prior published result is identical. Analytical Base and Excel Base both remain 75. The active window contains $27.906 billion of ISG plus CSG segment operating profit from Q4 2027 through Q3 2028, priced at 20x over 631 million starting-quarter shares.

The new owner-supplied OEM packet provides translated anonymous channel evidence about rack pricing, memory/storage costs, customer orders and product mix. The central cost interpretation fits inside the existing procurement allowance. Historical xAI references overlap recognized relationships, and the packet supplies no measured incremental Dell award. Selected incremental revenue and OP are zero.

The complete corporate cash, customer-financing, debt, capital and share-retirement schedules now expose the funding conditions behind the existing per-share path. The central five-million-per-quarter net retirement goal is funded under the selected inputs, with minimum cash of $8.849 billion. It requires continuing customer-financing funding, principal refinancing and future repurchase-authorization renewals.

The report retains the dated market reference of $461.56 at the 20 October 2026 close. Current financial tables use the 6 November 2026 selected assumptions. The complete 21 October report follows in a dated appendix, preserving its source exhibits, historical forecasts and earlier forward displays.

Current model decision

OP USD millions; shares millions; ceiling USD/share

Horizon	Window through	F4Q segment OP	Multiple	Start shares	Ceiling
Q4 2027	Q3 2028	27,905.84	20	631.00	884.50

20x forward-four-quarter ISG plus CSG segment OP divided by starting-quarter all-class diluted-equivalent shares. Corporate costs enter the full cash bridge. Active prior and current ceilings are identical.

Sources: [S1], [S2], [S8], [S9].

Products, customers and the captured system wallet

Dell combines AI systems, traditional servers and networking, enterprise storage, client devices, financing and services. Procurement scale, system integration, enterprise support and the route from delivery to useful operation can help it capture part of the infrastructure buildout. Rival branded systems, direct ODM procurement and customer integration limit the eligible wallet and pricing power.

AI server revenue includes expensive accelerators, memory, networking and other purchased components. A larger complete-system invoice can raise revenue with modest incremental gross profit. Traditional systems, Dell-owned

storage IP, software and services have different margin structures. The forecast therefore separates five revenue vectors and their costs.

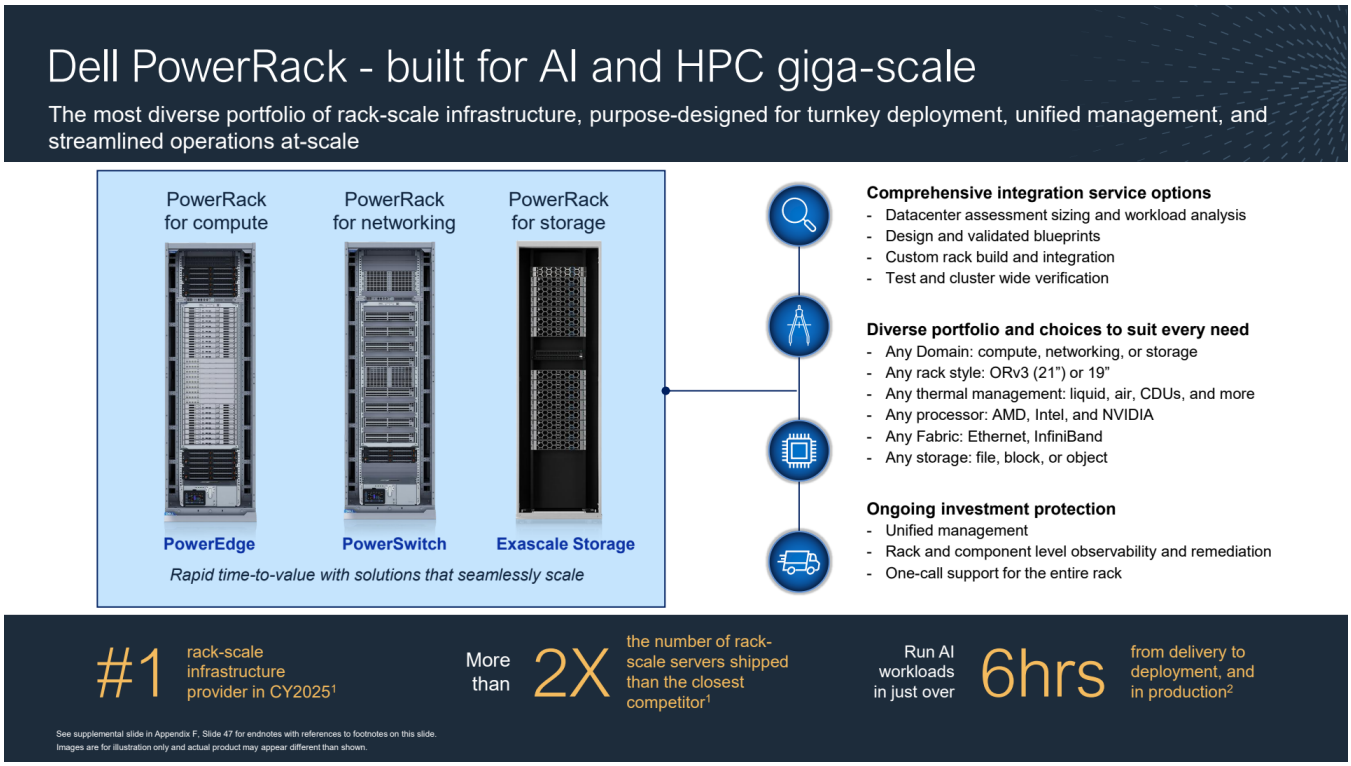
An accepted, operating system requires matched components and facility readiness. Data-center construction, cloud-service contracts, chip sales, OEM orders, backlog and Dell revenue occupy connected stages of the buildout. Each input is assigned to its owning stage before it changes the company forecast.

Reported product and segment revenue

USD millions; reported fiscal Q2 FY2027

Item	Amount	Owning scope
AI-optimized servers	16401	ISG
Traditional servers and networking	10531	ISG
Storage	4850	ISG
Commercial client	13192	CSG
Consumer client	1842	CSG
Other	155	Consolidated
Company	46971	Consolidated

Quarter ended 31 July 2026; released 1 September. Revenue vectors reconcile to their owning segment.



PowerRack architecture. Dell Q2 FY2027 performance review, 1 September 2026, original page 11. Original units, periods and issuer footnotes are preserved.

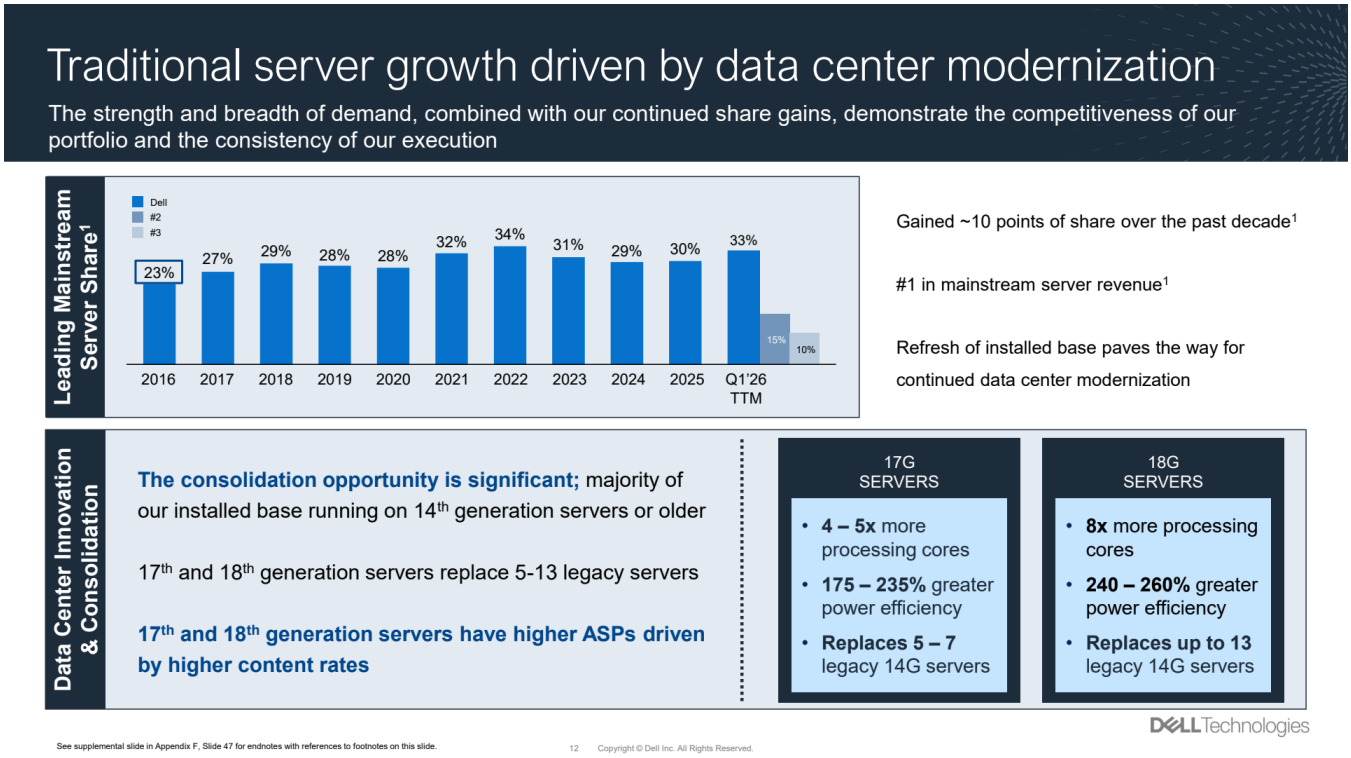
Sources: [S1], [S2], [S4].

Replacement, content and the expanded enterprise data market

AI systems expand the addressable infrastructure wallet while new server generations increase useful processing, memory and networking content. A higher rack value can reflect more purchased content. Product mix, useful output, captured price and support costs determine the profit Dell retains.

Traditional server consolidation can replace several older systems with fewer current systems. Higher cores, memory, storage and workload density can support revenue per useful system while physical unit counts fall. The issuer comparison retains its original generation and performance footnotes.

Enterprise AI also requires data preparation, storage, governance, context and management. Dell IP attach can expand eligible storage receipts. Broad enterprise demand already sits inside the reference storage path; the separate data-platform case adds a bounded cohort after an overlap deduction.



Server consolidation and density. Dell Q2 FY2027 performance review, 1 September 2026, original page 12. Original units, periods and issuer footnotes are preserved.

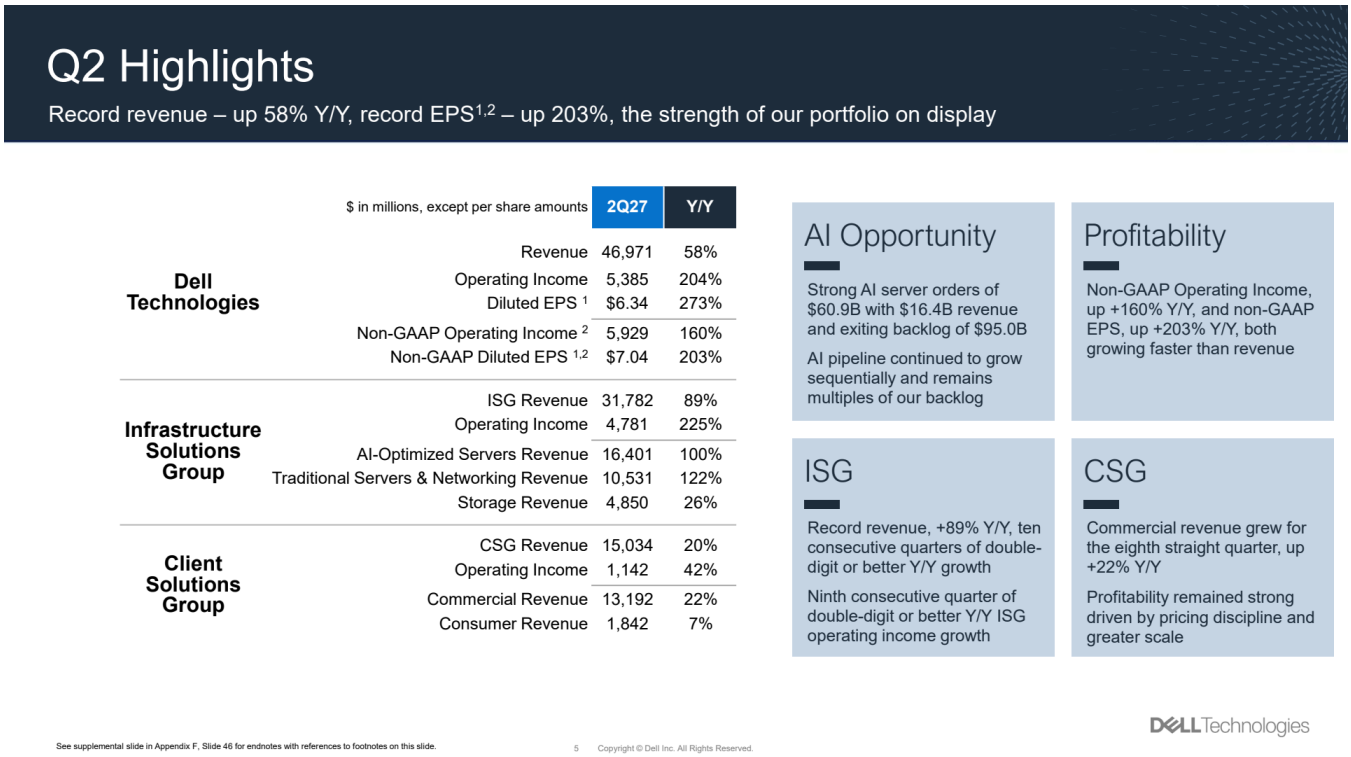
Sources: [S2], [S4], [S7].

Demand quality and physical conversion

Reported AI sales, orders and backlog provide evidence of demand. Revenue recognition still requires matched systems, delivery and acceptance. Credit review, deposits, cancellation terms, component supply and facility readiness affect timing and collectability.

The reviewed calls and September conferences support an 85% backlog-conversion judgment within the existing reference path. That judgment already underlies modeled FY2027 AI revenue of $74 billion and the subsequent ramp. Repeated discussion of the same contracts receives zero additional revenue credit.

The October packet centers on a peer OEM and its customer/rack context. Customer-wide spending and another supplier order book leave Dell wallet share unresolved. The current source review credits no entire customer capex envelope to Dell.



AI orders, shipments and backlog. Dell Q2 FY2027 performance review, 1 September 2026, original page 5. Original units, periods and issuer footnotes are preserved.

Sources: [S2], [S3], [S4], [S8].

Latest actuals and the segment accounting bridge

Dell fiscal Q2 FY2027 ended on 31 July 2026 and was reported on 1 September. Revenue was $46.971 billion, including $31.782 billion ISG and $15.034 billion CSG. AI-optimized server revenue was $16.401 billion, traditional servers and networking $10.531 billion, and storage $4.850 billion.

Reported ISG gross profit of $7.513 billion less operating expenses of $2.732 billion produced $4.781 billion segment OP. CSG gross profit of $2.408 billion less expenses of $1.266 billion produced $1.142 billion OP. Their combined $5.923 billion forms the retained segment-profit accounting basis.

Other non-GAAP OP of $6 million brings group non-GAAP OP to $5.929 billion. Corporate amortization of $96 million, SBC of $184 million and other corporate adjustments of $264 million reconcile it to GAAP OP of $5.385 billion. The current forecast carries these corporate cost classes through the cash and funding schedules.

Reported segment and group OP bridge

USD millions; reported fiscal Q2 FY2027

Business / adjustment	Revenue	GP	Opex	OP
ISG	31782	7513	2732	4781
CSG	15034	2408	1266	1142
ISG plus CSG	46816	9921	3998	5923
Other	155	Blank	Blank	6
Group non-GAAP	46971	Blank	Blank	5929
Intangible amortization	Blank	Blank	Blank	-96
Corporate SBC	Blank	Blank	Blank	-184
Other corporate adjustments	Blank	Blank	Blank	-264
Reported GAAP	46971	Blank	Blank	5385

The retained valuation numerator is ISG plus CSG segment OP. The group accounting bridge includes Other OP of 6. Product-level profitability within ISG remains an analyst estimate.

Business units trending

	$ in millions	2Q26	3Q26	4Q26	1Q27	2Q27	Y/Y	Q/Q
Dell Technologies	Revenue	29,776	27,005	33,379	43,842	46,971	58%	7%
	Operating Income	1,773	2,119	3,092	3,656	5,385	204%	47%
	Non-GAAP Operating Income [1]	2,284	2,503	3,538	4,235	5,929	160%	40%
ISG + CSG	ISG + CSG Revenue	29,303	26,585	33,096	43,618	46,816	60%	7%
	ISG + CSG Operating Income	2,273	2,491	3,529	4,225	5,923	161%	40%
Infrastructure Solutions Group	ISG Revenue	16,800	14,107	19,602	29,009	31,782	89%	10%
	Operating Income	1,470	1,743	2,900	3,055	4,781	225%	56%
	AI-Optimized Servers Revenue	8,208	5,641	8,952	16,132	16,401	100%	2%
	Traditional Servers & Networking Revenue	4,736	4,484	5,853	8,543	10,531	122%	23%
	Storage Revenue	3,856	3,982	4,797	4,334	4,850	26%	12%
Client Solutions Group	CSG Revenue	12,503	12,478	13,494	14,609	15,034	20%	3%
	Operating Income	803	748	629	1,170	1,142	42%	-2%
	Commercial Revenue	10,781	10,621	11,614	13,020	13,192	22%	1%
	Consumer Revenue	1,722	1,857	1,880	1,589	1,842	7%	16%
Corporate and Other	Other Revenue	473	420	283	224	155	-67%	-31%
	Operating Income	11	12	9	10	6	-45%	-40%

[1] See supplemental slides in Appendix C for reconciliation of non-GAAP measures to their most directly comparable GAAP measures.

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Reported business-unit financials. Dell Q2 FY2027 performance review, 1 September 2026, original page 26. Original units, periods and issuer footnotes are preserved.

Supplemental non-GAAP measures

Operating income

$ in millions	2Q26	3Q26	4Q26	1Q27	2Q27
GAAP operating income	**1,773**	**2,119**	**3,092**	**3,656**	**5,385**
Non-GAAP adjustments:					
Amortization of intangibles [1]	125	121	125	97	96
Stock-based compensation	179	165	189	189	184
Other corporate expenses [2]	207	98	132	293	264
Total adjustments to operating income	**511**	**384**	**446**	**579**	**544**
Non-GAAP operating income	**2,284**	**2,503**	**3,538**	**4,235**	**5,929**
Non-GAAP operating income as a % of revenue	*7.7%*	*9.3%*	*10.6%*	*9.7%*	*12.6%*

[1] This amount includes non-cash purchase accounting adjustments primarily related to the EMC merger transaction in 3Q17.

[2] Consists primarily of severance expenses, payroll taxes associated with stock-based compensation, transaction-related expenses, impairment charges, and incentive charges related to equity investments.

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GAAP to non-GAAP operating profit. Dell Q2 FY2027 performance review, 1 September 2026, original page 33. Original units, periods and issuer footnotes are preserved.

Sources: [S1], [S2].

What the valuation basis includes

The ceiling equals 20 times forward-four-quarter ISG plus CSG segment OP divided by starting-quarter all-class diluted-equivalent shares. Every current and future multiple control remains 20. Each window contains the labeled quarter and next three quarters.

Corporate SBC, intangible amortization and other corporate costs are excluded from the retained segment numerator. They reduce the separate full-company cash proxy. Interest, cash tax, capex, customer-financing assets, principal payments, dividends, withholding and gross buybacks then determine funded shares.

The ceiling numerator is segment OP. The full cash and debt schedules constrain capital returns and the resulting denominator. Capital-stress bounds explicitly allocate incremental D&A between segment and corporate profit while retaining the full cash expense.

Sources: [S1], [S9].

Fiscal guidance and exact allocation

Management guided fiscal Q3 FY2027 revenue to $48.5-$49.5 billion, AI revenue to about $19 billion and non-GAAP EPS to $6.40-$6.60. The selected near-quarter revenue midpoint is $49 billion. The fiscal-year guide is $190-$194 billion revenue, $74 billion AI revenue and $25.25-$25.75 EPS.

FY2027 ends in January 2027. Reported first-half results and the selected near quarter leave $52.187 billion revenue and $22.467 billion AI revenue for the final fiscal quarter. Explicit guide calibration produces $6.013 billion final-quarter segment OP and $3.728 billion operating expense.

Calendar 2027 includes the guided final fiscal quarter and three later quarters. Calendar-year cross-checks retain that separate scope alongside the $192 billion fiscal midpoint.

Fiscal guidance and calendar mapping

Revenue USD millions; EPS USD/share

Period	Revenue	AI revenue	Non-GAAP EPS / model anchor
FQ3 FY2027 / calendar Q4 2026	48500-49500; midpoint 49000	19000	6.40-6.60; midpoint 6.50
FY2027 / ends January 2027	190000-194000; midpoint 192000	74000	25.25-25.75; midpoint 25.50
Residual January quarter	52187	22467	Segment OP 6013.036585; opex 3728

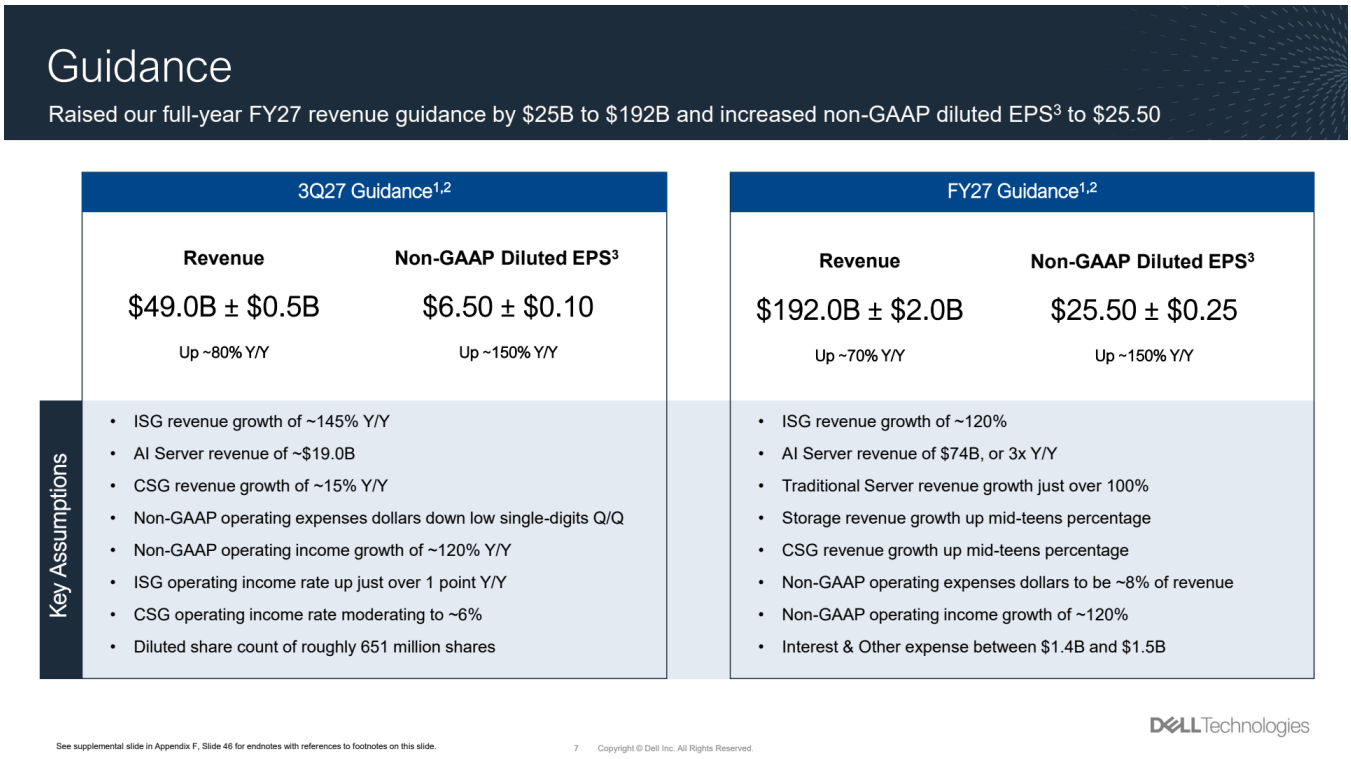
FY2027 includes reported first-half results and calendar Q4 2026 / Q1 2027. Residual revenue and AI amounts reconcile the annual midpoint. Calendar annual totals have a separate period scope.

Product allocation and cost controls

USD millions where numeric; percentages as stated

Input	Value	Interpretation
Actual AI GP / opex	8.5% / 3%	LOW estimated allocation within reported ISG
Actual traditional GP / opex	34% / 13%	LOW estimated allocation within reported ISG
Actual storage GP / opex	52.337629% / 17.957526%	Residual reconciles actual segment
Future CSG GP / opex	16% / 10%	6% OP path
Post-guidance procurement allowance	50 bp of reference ISG	From calendar Q2 2027
Annual OP implied by guide EPS	21,702.29	Selected fiscal guide calibration

Guided quarters use explicit GP/expense calibration. Actual estimated product rates explain the historical allocation; exact future GP and opex appear in product tables.



FY27 and next-quarter guidance. Dell Q2 FY2027 performance review, 1 September 2026, original page 7. Original units, periods and issuer footnotes are preserved.

Sources: [S1], [S2].

Product profitability and cost identification

Dell reports segment results and selected product revenue. AI, traditional-server and storage profitability is an analyst allocation constrained by reported ISG GP and opex. The dated actual allocation uses 8.5% AI GP and 3% opex, and 34% traditional-server GP and 13% opex. Storage receives the residual needed to reconcile the segment.

Guided quarters use explicit GP and expense calibration. Later quarters retain a 50 bp manufacturing/procurement allowance on reference ISG revenue. Each product has revenue, cost of sales, GP, opex and OP, so a higher component invoice or contractual premium has an owning cost bridge.

Detailed product margins have LOW confidence because the company does not disclose the required split. Calibration alternatives can move profit between products while preserving actual segment totals. Consolidated segment OP and the full corporate cash roll carry the economic weight.

Sources: [S1], [S2], [S9].

New OEM evidence, bounds and overlap

The new owner source is a ten-page P Equity Research expert-call packet published on 24 October 2026. The exact underlying call day is unresolved: the footer says October while internal answers refer to September as the current period. The expert is anonymous, the text is translated and original-language audio is absent.

A bounded adverse interpretation maps a 5% rack-price rise and 40% memory/storage inflation to a 15% affected share of rack COGS. From a 5.5% AI OP margin, it produces 72.857 bp conditional rack-margin pressure. The model weights the event at 25% and uses a 35% Dell GB300 AI-mix proxy.

The reviewed central pressure is fully overlapped by the existing ISG procurement allowance, so incremental selected cost is zero. At the 20% affected-BOM bound, conditional rack pressure is 247.143 bp. Applying 35% GB300 mix gives 86.5 bp per Dell AI revenue; applying the 25% event weight gives expected pressure of 21.625 bp per AI revenue. That expected-cost amount stays below the 50 bp allowance on the larger ISG revenue base. In the conditional event before probability weighting, pressure can exceed the allowance when AI is a sufficiently large share of ISG.

Historical xAI context receives 50% relevance weight and the bounded B300 mix illustration receives 25%. Both add zero Dell revenue or OP because incremental wallet, product mix and timing are unmeasured. All ten source pages form one correlated evidence group.

Conditional and expected OEM cost scopes

Basis points of the stated revenue base; downside pressure floored at zero

Affected BOM	Conditional rack pressure	Conditional per AI revenue	25%-weighted per AI revenue
10%	0.000000 bp	0.000000 bp	0.000000 bp
15%	72.857143 bp	25.500000 bp	6.375000 bp
20%	247.142857 bp	86.500000 bp	21.625000 bp

After 35% GB300 mix and 25% event probability, expected cost is below the existing 50 bp allowance on the larger reference ISG base in every quarter. A high-AI-mix conditional event can exceed the allowance before probability weighting. At Q4 2027, the 20% BOM bound is 242.2 conditional cost / 60.55 expected cost versus 225 allowance, all USD millions. Financial assumptions and selected incremental cost remain unchanged.

Numerical Rule16b evidence and overlap

Numerical analyst probabilities and conditional bounds

Case	Weight	Conditional scope	Selected increment / overlap
OEM cost pressure	25%	5% rack price; 40% input inflation; 15% affected BOM; 35% AI mix	100% central overlap with existing allowance; zero new OP cost
Historical xAI context	50%	Unmeasured incremental Dell wallet	100% overlap / unknown wallet; zero revenue
B300 mix offset	25%	Peer 10 pp mix change; 1-3 pp OP spread	Dell mix and timing unmeasured; zero new OP
Storage attach	60%	20% eligible x 20% attach x 50% nonoverlap	2% conditional / 1.2% weighted full-ramp receipts
Finite delivery premium	50%	25% eligible AI x 1% price; 40% costs	Eligible new contracts; explicit 2030 fade
Backlog conversion	85%	Existing reference FY2027 AI 74000	Already in forecast; zero additional revenue

The anonymous ten-page packet is one correlated evidence group. Storage and premium increments are applied once in their owning products. Zero-increment context contributes no extra OP.

Sources: [S8], [S9].

Storage and proprietary data-platform capture

The existing storage option uses 60% probability. Its conditional endpoint applies 20% eligibility, 20% extra attach and a 50% overlap exclusion, giving incremental receipts equal to 2% of reference storage. Probability weighting reduces the full-ramp receipt increment to 1.2%.

Incremental GP is 55% and R&D, support and selling expense is 20%, leaving 35% OP on added receipts. Qualification and availability phase the ramp from 25% in Q3 2027 to 50% in Q4, 75% in Q1 2028 and full in Q2 2028.

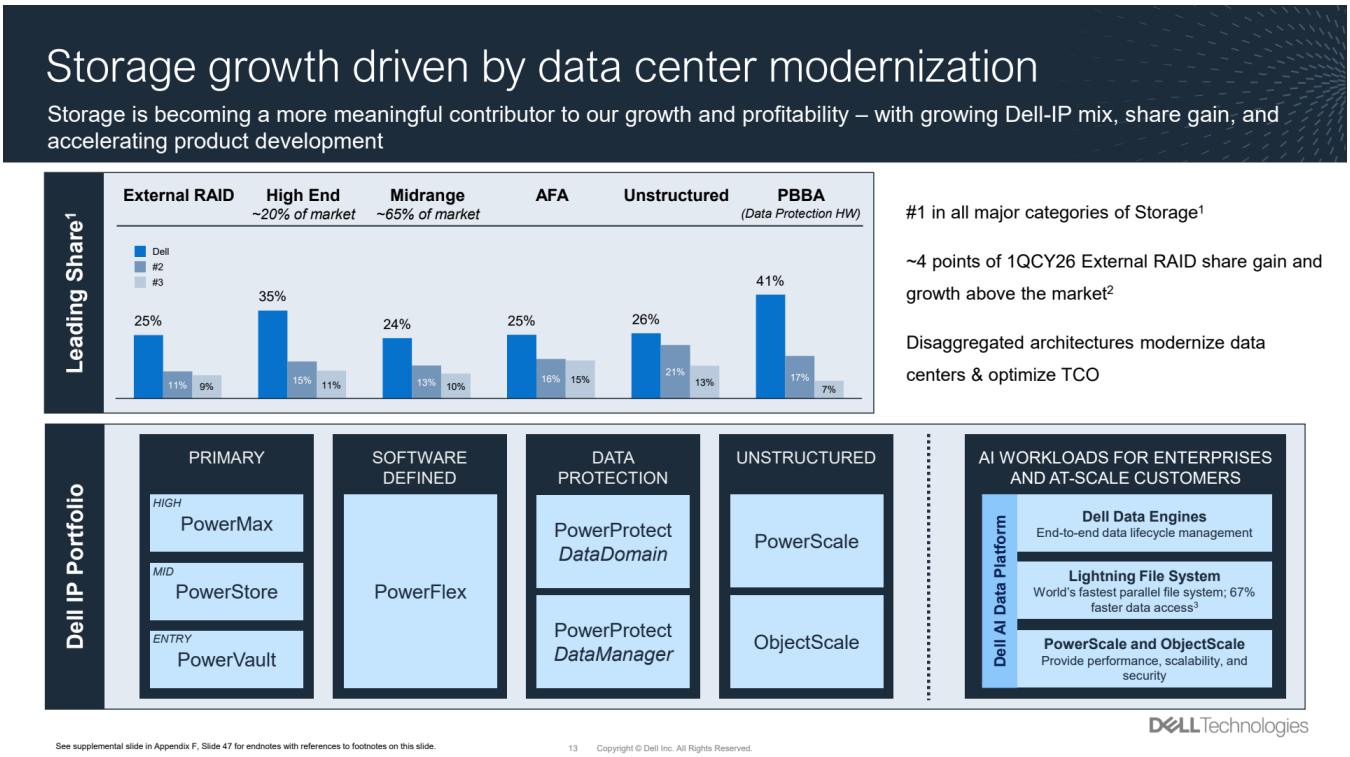
The named product announcement supplies a route to customer value, with original availability and internal-benchmark limitations. A priced adoption cohort beyond ordinary hardware purchases supports the incremental attach assumption.

Weighted storage attach increment

USD millions; forecasts unless marked reported

Quarter	Reference receipts	Extra receipts	Extra GP	Extra opex	Extra OP
Q4 2026	4,650.00	0.00	0.00	0.00	0.00
Q1 2027	5,350.00	0.00	0.00	0.00	0.00
Q2 2027	5,400.00	0.00	0.00	0.00	0.00
Q3 2027	5,600.00	16.80	9.24	3.36	5.88
Q4 2027	5,800.00	34.80	19.14	6.96	12.18
Q1 2028	6,200.00	55.80	30.69	11.16	19.53
Q2 2028	6,400.00	76.80	42.24	15.36	26.88
Q3 2028	6,600.00	79.20	43.56	15.84	27.72
Q4 2028	6,800.00	81.60	44.88	16.32	28.56
Q1 2029	7,000.00	84.00	46.20	16.80	29.40
Q2 2029	7,200.00	86.40	47.52	17.28	30.24
Q3 2029	7,400.00	88.80	48.84	17.76	31.08
Q4 2029	7,600.00	91.20	50.16	18.24	31.92
Q1 2030	7,800.00	93.60	51.48	18.72	32.76
Q2 2030	8,000.00	96.00	52.80	19.20	33.60
Q3 2030	8,200.00	98.40	54.12	19.68	34.44
Q4 2030	8,400.00	100.80	55.44	20.16	35.28

Probability, cohort, overlap, costs and time ramps are already applied once in these receipts. Full law is described beside the table.



Storage modernization and Dell IP. Dell Q2 FY2027 performance review, 1 September 2026, original page 13. Original units, periods and issuer footnotes are preserved.

Sources: [S2], [S4], [S7], [S9].

Deployment speed and the finite premium

Management described a four-to-six-week deployment advantage and customers valuing time to operation. The finite option has 50% probability and applies a 1% price premium to 25% of newly repriceable AI contracts.

The premium has 75% incremental GP and 15% incremental opex. Expediting, engineering, support and other costs absorb 40% of its receipts, leaving 60% OP. Ordinary integration efficiency remains inside reference AI profitability.

Half ramp begins in Q2 2027 and full ramp in Q3 2027. The benefit fades to 75%, 50%, 25% and zero through 2030 as competitors can close the delivery gap. Fixed-price backlog receives no automatic repricing.

Weighted finite premium increment

USD millions; forecasts unless marked reported

Quarter	Reference receipts	Extra receipts	Extra GP	Extra opex	Extra OP
Q4 2026	19,000.00	0.00	0.00	0.00	0.00
Q1 2027	22,467.00	0.00	0.00	0.00	0.00
Q2 2027	24,000.00	15.00	11.25	2.25	9.00
Q3 2027	26,000.00	32.50	24.38	4.88	19.50
Q4 2027	28,000.00	35.00	26.25	5.25	21.00
Q1 2028	30,000.00	37.50	28.12	5.62	22.50
Q2 2028	32,000.00	40.00	30.00	6.00	24.00
Q3 2028	34,000.00	42.50	31.88	6.38	25.50
Q4 2028	36,000.00	45.00	33.75	6.75	27.00
Q1 2029	38,000.00	47.50	35.62	7.12	28.50
Q2 2029	40,000.00	50.00	37.50	7.50	30.00
Q3 2029	42,000.00	52.50	39.38	7.88	31.50
Q4 2029	44,000.00	55.00	41.25	8.25	33.00
Q1 2030	46,000.00	43.12	32.34	6.47	25.88
Q2 2030	48,000.00	30.00	22.50	4.50	18.00
Q3 2030	50,000.00	15.62	11.72	2.34	9.38
Q4 2030	52,000.00	0.00	0.00	0.00	0.00

Probability, cohort, overlap, costs and time ramps are already applied once in these receipts. Full law is described beside the table.

Sources: [S3], [S4], [S9].

Conventional cash and adjusted FCF

Reported H1 conventional CFO was $6.306 billion. Gross capex of $2.202 billion leaves $4.104 billion conventional FCF. The company adjusted measure adds $6.404 billion finance-receivable cash investment and $806 million leased-equipment adjustment, producing $11.314 billion adjusted FCF.

Customer-financing receivables require funding. The adjusted-FCF addback identifies a scope that must be paired with financing assets and debt. The current forecast starts from conventional CFO and separately funds new customer-financing assets.

H1 cash adds $3.046 billion net debt cash, then deducts $5.424 billion programme buybacks, $555 million withholding, $869 million dividends/equivalents, and other investing, debt-cost and FX items. The resulting $31 million cash increase reconciles the source.

FY2026 annual adjusted FCF used net capex of $2.630 billion; gross capex was $2.633 billion. Both scopes remain visible. Interim cash paid for tax and interest remains unknown in the selected source set.

Reported conventional and adjusted cash scopes

USD millions; H1 ended 31 July 2026; annual ended 30 January 2026

Cash measure	H1 FY2027	FY2026 annual	Scope
CFO	6306	11185	Cash-flow statement
Gross capex	2202	2633	Gross cash PPE
Conventional gross-capex FCF	4104	8552	CFO less gross capex
Finance-receivable adjustment	6404	2740	Adjusted-FCF addback
Leased-equipment adjustment	806	213	Adjusted-FCF addback
Adjusted FCF	11314	11508	FY2026 uses net capex 2630
Programme repurchases	5424	6014	Separate withholding cash
Employee withholding	555	390	Employee-equity cash
Dividends / equivalents	869	1459	H1 Note12 common paid rows separately 814

H1 4104 + 6404 + 806 = 11314. FY2026 adjusted FCF uses net capex 2630; gross capex 2633 is retained separately.

Reported H1 cash movement

USD millions; reported H1 FY2027

Category	Cash
Conventional FCF	4104
Net debt cash	3046
Programme repurchases	-5424
Withholding	-555
Dividends / equivalents	-869
Other investing	-202
Debt costs	-34
FX	-35
Net cash change	31

Source categories reconcile. A change in management core/DFS classification contributes zero cash.

Supplemental non-GAAP measures

Adjusted free cash flow

$ in millions	2Q26	3Q26	4Q26	1Q27	2Q27
Cash flow from operations	**2,543**	**1,172**	**4,674**	**4,081**	**2,225**
Adjustments:					
Capital expenditures and capitalized software development costs, net [1]	(675)	(666)	(721)	(963)	(1,239)
Free cash flow	**1,868**	**506**	**3,953**	**3,118**	**986**
Adjustments:					
Financing receivables [2]	592	1,135	1,036	(263)	6,667
Equipment under operating leases [3]	58	29	99	310	496
Adjusted free cash flow	**2,518**	**1,670**	**5,088**	**3,165**	**8,149**

[1] Capital expenditures and capitalized software development costs, net includes proceeds from sales of facilities, land, and other assets.
[2] Financing receivables represent the operating cash flow impact from the change in DFS financing receivables.
[3] Equipment under operating leases represents the net change of capital expenditures and depreciation expense for DFS leases and contractually embedded leases identified within flexible consumption arrangements.

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Operating cash and adjusted free cash flow. Dell Q2 FY2027 performance review, 1 September 2026, original page 37. Original units, periods and issuer footnotes are preserved.

Sources: [S1], [S5], [S9].

Customer credit, financing assets and legal debt claims

Dated opening balances are $11.569 billion unrestricted cash, $20.430 billion net financing receivables and $3.182 billion net leased equipment. Restricted cash of $168 million and long-term investments of $2.679 billion are excluded from deployable opening cash.

Total face debt of $34.747 billion consists of $13.983 billion core, $20.660 billion DFS-related and $104 million other debt. DFS-related debt is 87.5% of the combined source-date financing-asset pool. The forecast uses that ratio for new asset funding and retains the full legal claims.

Management allocation between core and DFS changes classified balances and contributes zero cash. The forecast separately records asset growth, new DFS borrowing, principal refinancing, gross proceeds, principal paid and interest. The 87.5% ratio is a forward funding assumption; no newly committed facility is inferred.

Source stock and cash measures retain distinct scopes. H1 finance-AR stock increased $6.150 billion versus the $6.404 billion CFO investment line. Net leased assets rose $723 million versus the $806 million adjusted-FCF amount. FX, allowances, depreciation and cash timing remain in their owning definitions.

Opening cash, financing assets and claims

USD millions; 31 July 2026

Item	Amount	Owning treatment
Unrestricted cash	11569	Deployable opening cash
Restricted cash	168	Excluded from deployable cash
Long-term investments	2679	Excluded from opening cash
Net finance receivables	20430	Customer-financing asset
Net lessor equipment	3182	Lessor asset pool
Core face debt	13983	Core claims
DFS-related debt	20660	Customer-financing claims
Other debt	104	Retained claims
Total face debt	34747	Full maturity and interest budget
Repurchase authorization	10371	Finite remaining at source date

DFS debt equals 87.5% of the dated combined 23612 financing-asset pool. The forecast uses that ratio as a new-asset funding assumption.

Principal-payment budgets

USD millions; dated source maturities and modeled timing

Fiscal year	Principal	Allocation quarters
FY2027 remaining	5351	2
FY2028	4489	4
FY2029	3651	4
FY2030	3942	4
FY2031	1773	4

Quarter allocation is a timing proxy; remaining FY2027 maps to calendar Q4 2026 and Q1 2027. Opening core/total face ratios allocate claims. October Dell Bank EUR500 million settlement/refinancing after July remains unverified.

Sources: [S1], [S5], [S9].

Corporate costs, tax and complete cash construction

The cash forecast starts with segment OP and deducts corporate SBC, amortization and other corporate cash costs. Opening quarterly amounts are $184 million, $96 million and $264 million. SBC and other corporate cash costs grow 5% annually; amortization retains its selected quarterly amount.

Cash interest is a 4.5% annual proxy on average beginning and ending total face debt. Cash tax is 18% of positive proxy PBT after interest. Eligible D&A, amortization and SBC are added back once to reach CFO before finance-receivable investment, then that cash investment is deducted for conventional CFO.

The cash-tax rate is a forecast proxy. FY2026 paid tax was $1.261 billion compared with book tax of $1.327 billion on $7.263 billion EBT; cash interest paid was $1.354 billion. These dated annual actuals bound interpretation while interim paid amounts remain unresolved.

The budget deducts gross capex, principal, common dividends, an equivalent reserve, withholding and actual gross repurchases. It adds matched new financing and actual refinancing proceeds separately. Central incremental commercial NWC and financing-asset cash loss are zero; explicit stress cases change those inputs.

Selected cash and capital controls

USD millions where numeric; forecast controls

Control	Input	Financial scope
Cash reserve	6000	Analyst floor
Cash-tax proxy	18%	Positive proxy PBT; interim paid amount unknown
Cash interest	4.5% annual	Average beginning / ending face debt
Corporate SBC / amortization / other cash	184 / 96 / 264 per quarter	SBC and other cash grow 5%; amortization fixed
New DFS-asset funding	87.5%	New AR and leased-asset growth
Core / DFS principal refinance	100% / 100%	Central forward assumption
Core / lessor capex	Separate intensities	Gross lessor includes actual pool depreciation
Incremental core PPE lag / life	2 / 20 quarters	Live stressed capital cohorts
Core / lessor incremental D&A in segments	100% / 0%	Full group expense once; allocation bounded

FY2026 actual paid tax 1261 versus book tax 1327 and EBT 7263; paid interest 1354. Interim paid tax/interest remain unverified. Each noncash expense receives one CFO addback.

Corporate cost, tax and CFO bridge

USD millions; forecasts

Quarter	op usd m	GAAP OP cash bridge proxy	cash interest	cash tax proxy	CFO before DFS receivable cash
Q4 2026	5,525.25	4,981.25	401.92	824.28	4,713.31
Q1 2027	6,013.04	5,446.64	425.64	903.78	5,119.43
Q2 2027	6,061.03	5,494.63	447.68	908.45	5,193.57
Q3 2027	6,318.67	5,752.27	467.81	951.20	5,442.71
Q4 2027	6,582.23	6,015.83	489.83	994.68	5,697.99
Q1 2028	6,900.10	6,310.18	512.79	1,043.53	5,993.11
Q2 2028	7,103.21	6,513.29	535.15	1,076.06	6,200.45
Q3 2028	7,320.31	6,730.39	556.81	1,111.24	6,423.55
Q4 2028	7,537.41	6,947.49	579.04	1,146.32	6,648.87
Q1 2029	7,754.51	7,139.89	601.58	1,176.90	6,866.50
Q2 2029	7,951.11	7,336.49	624.12	1,208.23	7,078.76
Q3 2029	8,147.71	7,533.09	646.63	1,239.56	7,293.61
Q4 2029	8,344.31	7,729.69	669.45	1,270.84	7,510.78
Q1 2030	8,532.28	7,891.74	692.53	1,295.86	7,712.63
Q2 2030	8,719.51	8,078.96	715.85	1,325.36	7,926.83
Q3 2030	8,905.98	8,265.44	739.46	1,354.67	8,142.74
Q4 2030	9,091.71	8,451.16	763.37	1,383.80	8,360.35

Corporate cash OP proxy expenses recurring corporate costs and group-only incremental D&A. CFO adds back eligible noncash expenses once.

Sources: [S1], [S5], [S9].

Cash capex, leased equipment and D&A ownership

Core cash capex follows selected company-revenue intensity. Lessor equipment has its own pool: net capital increases assets, depreciation reduces them, and gross lessor capex equals net capital plus actual pool depreciation. Total capex combines core and lessor cash spending.

A core-capex stress creates incremental PPE cohorts with a two-quarter in-service lag and 20-quarter life. Lessor incremental D&A equals actual stressed pool depreciation less the counterfactual baseline. Every incremental cost is expensed once in full company economics and added back once as a noncash item.

The default stress allocates 100% of incremental core D&A and zero incremental lessor D&A to segment OP. Remaining lessor expense is corporate-only. All-segment and all-corporate allocation bounds preserve full company cash cost while showing the sanctioned numerator sensitivity.

Gross capital and noncash-cost bridge

USD millions; forecasts

Quarter	core cash capex	lessor gross capex	total cash capex	total DA addback	incremental DA
Q4 2026	471.58	726.08	1,197.67	774.26	0
Q1 2027	502.26	807.58	1,309.84	809.01	0
Q2 2027	524.66	877.99	1,402.65	861.88	0.00
Q3 2027	550.98	956.17	1,507.14	916.25	0.00
Q4 2027	577.16	1,038.31	1,615.47	973.47	0.00
Q1 2028	605.30	1,124.75	1,730.05	1,036.40	0.00
Q2 2028	628.62	1,208.93	1,837.55	1,095.52	0.00
Q3 2028	652.73	1,296.78	1,949.50	1,158.36	0.00
Q4 2028	676.84	1,387.31	2,064.15	1,223.88	0.00
Q1 2029	700.94	1,480.53	2,181.48	1,292.09	0.00
Q2 2029	724.09	1,575.11	2,299.20	1,361.61	0.00
Q3 2029	747.23	1,672.27	2,419.50	1,433.71	0.00
Q4 2029	770.38	1,772.00	2,542.38	1,508.38	0.00
Q1 2030	793.39	1,874.11	2,667.49	1,585.63	0.00
Q2 2030	816.38	1,978.76	2,795.14	1,665.43	0.00
Q3 2030	839.36	2,085.96	2,925.32	1,747.79	0.00
Q4 2030	862.33	2,195.69	3,058.02	1,832.70	0.00

Lessor gross capex equals net capital plus actual pool depreciation. Core stress uses separate live PPE cohorts; incremental D&A is expensed and added back once.

Sources: [S1], [S5], [S9].

All-class shares and authorization-funded retirement

The central path starts with 651 million all-class diluted-equivalent shares. Net new issuance is 2.5 million per quarter, using latest full-year issuance of 10 million as the reference. Five-million net quarterly retirement therefore requires 7.5 million gross shares repurchased.

Execution starts at an independent $500 per share and grows 5% annually. The execution input remains separate from the research ceiling. Employee withholding starts at $277.5 million per quarter using the conservative H1 cash run rate and grows 5%. The common dividend starts at $0.63 per share, with a separate $27.5 million equivalent reserve.

Remaining authorization at 31 July was $10.371 billion. The central case assumes future board renewals as that budget exhausts. Actual buybacks are constrained by required cash, the $6 billion reserve and applicable authorization. The central path funds every five-million net retirement with minimum cash of $8.849 billion.

Higher issuance or execution prices, less financing-asset funding, incomplete refinancing and authorization nonrenewal can reduce retirement. Starting-quarter shares from the complete budget determine each ceiling. H1

issued-share and treasury-share changes retain their actual scopes; weighted EPS shares supply no separate issuance estimate.

Cash-funded retirement controls

Shares millions; cash USD millions except per-share inputs

Control	Input	Condition
Starting all-class diluted shares	651	Millions
New net issuance per quarter	2.50	FY2026 annual net issuance 10m
Desired net retirement per quarter	5	Cash and authorization constrained
Required gross repurchases per quarter	7.50	Includes issuance offsets
Independent execution price	500	USD; 5% annual growth
Withholding per quarter	277.50	H1 conservative run rate; 5% growth
Quarter dividend per share	0.63	USD; 5% annual growth
Equivalent reserve per quarter	27.50	Unallocated H1 55 scope gap / two
Future authorization renewal	Enabled centrally	New board approvals required beyond dated 10371

The source shows H1 net issuance 8m and treasury additions 20m. FY2026 net issuance is 10m; 16m and 23m annual diagnostics bound the proxy.

Funded all-class share path

Shares millions; cash USD millions

Quarter	starting shares m	net issued shares m	gross repurchased shares m	ending shares m	actual gross buyback cash	new authorization required cash
Q4 2026	651	2.50	7.50	646.00	3,750.00	0
Q1 2027	646.00	2.50	7.50	641.00	3,796.02	0
Q2 2027	641.00	2.50	7.50	636.00	3,842.61	1,017.63
Q3 2027	636.00	2.50	7.50	631.00	3,889.76	3,889.76
Q4 2027	631.00	2.50	7.50	626.00	3,937.50	3,937.50
Q1 2028	626.00	2.50	7.50	621.00	3,985.82	3,985.82
Q2 2028	621.00	2.50	7.50	616.00	4,034.74	4,034.74
Q3 2028	616.00	2.50	7.50	611.00	4,084.25	4,084.25
Q4 2028	611.00	2.50	7.50	606.00	4,134.38	4,134.38
Q1 2029	606.00	2.50	7.50	601.00	4,185.11	4,185.11
Q2 2029	601.00	2.50	7.50	596.00	4,236.47	4,236.47
Q3 2029	596.00	2.50	7.50	591.00	4,288.46	4,288.46
Q4 2029	591.00	2.50	7.50	586.00	4,341.09	4,341.09
Q1 2030	586.00	2.50	7.50	581.00	4,394.37	4,394.37
Q2 2030	581.00	2.50	7.50	576.00	4,448.30	4,448.30
Q3 2030	576.00	2.50	7.50	571.00	4,502.89	4,502.89
Q4 2030	571.00	2.50	7.50	566.00	4,558.15	4,558.15

Starting-quarter shares determine the ceiling. Future repurchase authorization is required after the current budget exhausts.

Sources: [S1], [S5], [S9].

Complete quarterly revenue path

The forecast contains AI systems, traditional servers/networking, storage, client solutions and Other through all 17 quarters. Product receipts include the probability-weighted attach and finite premium exactly once. The new OEM packet adds zero incremental sales.

The current path begins in Q4 2026 and extends to Q4 2030. Three final financial quarters support preceding complete earnings windows. Their own incomplete target windows retain blank outputs.

Complete quarterly product revenue

USD millions; forecasts unless marked reported

Quarter	AI	Traditional / net	Storage	Client	Other	Company
Q4 2026	19,000.00	10,900.00	4,650.00	14,350.00	100.00	49,000.00
Q1 2027	22,467.00	9,970.00	5,350.00	14,300.00	100.00	52,187.00
Q2 2027	24,015.00	10,500.00	5,400.00	14,500.00	100.00	54,515.00
Q3 2027	26,032.50	10,800.00	5,616.80	14,700.00	100.00	57,249.30
Q4 2027	28,035.00	11,200.00	5,834.80	14,800.00	100.00	59,969.80
Q1 2028	30,037.50	11,500.00	6,255.80	15,000.00	100.00	62,893.30
Q2 2028	32,040.00	11,600.00	6,476.80	15,100.00	100.00	65,316.80
Q3 2028	34,042.50	11,800.00	6,679.20	15,200.00	100.00	67,821.70
Q4 2028	36,045.00	12,000.00	6,881.60	15,300.00	100.00	70,326.60
Q1 2029	38,047.50	12,200.00	7,084.00	15,400.00	100.00	72,831.50
Q2 2029	40,050.00	12,300.00	7,286.40	15,500.00	100.00	75,236.40
Q3 2029	42,052.50	12,400.00	7,488.80	15,600.00	100.00	77,641.30
Q4 2029	44,055.00	12,500.00	7,691.20	15,700.00	100.00	80,046.20
Q1 2030	46,043.12	12,600.00	7,893.60	15,800.00	100.00	82,436.73
Q2 2030	48,030.00	12,700.00	8,096.00	15,900.00	100.00	84,826.00
Q3 2030	50,015.62	12,800.00	8,298.40	16,000.00	100.00	87,214.02
Q4 2030	52,000.00	12,900.00	8,500.80	16,100.00	100.00	89,600.80

All five vectors reconcile. The selected storage and premium increments are included once. Final three financial quarters support earlier complete forward windows.

Sources: [S9].

AI systems: full cost and profit path

AI revenue has substantial purchased-component content. The model carries cost of sales and operating expense, a post-guidance procurement allowance and the bounded delivery-premium increment. Component inflation, mix, acceptance and credit can affect both profit and cash.

AI systems full economics

USD millions; forecasts unless marked reported

Quarter	Revenue	Cost of sales	GP	Opex	OP
Q4 2026	19,000.00	17,717.95	1,282.05	501.93	780.12
Q1 2027	22,467.00	20,941.71	1,525.29	528.48	996.82
Q2 2027	24,015.00	22,083.75	1,931.25	722.25	1,209.00
Q3 2027	26,032.50	23,928.12	2,104.38	784.88	1,319.50
Q4 2027	28,035.00	25,768.75	2,266.25	845.25	1,421.00
Q1 2028	30,037.50	27,609.38	2,428.12	905.62	1,522.50
Q2 2028	32,040.00	29,450.00	2,590.00	966.00	1,624.00
Q3 2028	34,042.50	31,290.62	2,751.88	1,026.38	1,725.50
Q4 2028	36,045.00	33,131.25	2,913.75	1,086.75	1,827.00
Q1 2029	38,047.50	34,971.88	3,075.63	1,147.12	1,928.50
Q2 2029	40,050.00	36,812.50	3,237.50	1,207.50	2,030.00
Q3 2029	42,052.50	38,653.12	3,399.38	1,267.88	2,131.50
Q4 2029	44,055.00	40,493.75	3,561.25	1,328.25	2,233.00
Q1 2030	46,043.12	42,330.78	3,712.34	1,386.47	2,325.88
Q2 2030	48,030.00	44,167.50	3,862.50	1,444.50	2,418.00
Q3 2030	50,015.62	46,003.91	4,011.72	1,502.34	2,509.38
Q4 2030	52,000.00	47,840.00	4,160.00	1,560.00	2,600.00

Product profitability remains a LOW-confidence estimate constrained by reported segment costs. Revenue less GP gives cost of sales. Rounded displays can differ by small sums.

Sources: [S1], [S2], [S8], [S9].

Traditional servers and networking: full economics

Traditional servers and networking retain their own revenue and cost vector. Consolidation and content per accepted system can support useful demand as unit counts change. Estimated margins remain constrained by reported segment results and the common procurement allowance.

Traditional servers and networking full economics

USD millions; forecasts unless marked reported

Quarter	Revenue	Cost of sales	GP	Opex	OP
Q4 2026	10,900.00	7,385.01	3,514.99	1,247.77	2,267.22
Q1 2027	9,970.00	6,750.78	3,219.22	1,016.24	2,202.98
Q2 2027	10,500.00	6,982.50	3,517.50	1,365.00	2,152.50
Q3 2027	10,800.00	7,182.00	3,618.00	1,404.00	2,214.00
Q4 2027	11,200.00	7,448.00	3,752.00	1,456.00	2,296.00
Q1 2028	11,500.00	7,647.50	3,852.50	1,495.00	2,357.50
Q2 2028	11,600.00	7,714.00	3,886.00	1,508.00	2,378.00
Q3 2028	11,800.00	7,847.00	3,953.00	1,534.00	2,419.00
Q4 2028	12,000.00	7,980.00	4,020.00	1,560.00	2,460.00
Q1 2029	12,200.00	8,113.00	4,087.00	1,586.00	2,501.00
Q2 2029	12,300.00	8,179.50	4,120.50	1,599.00	2,521.50
Q3 2029	12,400.00	8,246.00	4,154.00	1,612.00	2,542.00
Q4 2029	12,500.00	8,312.50	4,187.50	1,625.00	2,562.50
Q1 2030	12,600.00	8,379.00	4,221.00	1,638.00	2,583.00
Q2 2030	12,700.00	8,445.50	4,254.50	1,651.00	2,603.50
Q3 2030	12,800.00	8,512.00	4,288.00	1,664.00	2,624.00
Q4 2030	12,900.00	8,578.50	4,321.50	1,677.00	2,644.50

Product profitability remains a LOW-confidence estimate constrained by reported segment costs. Revenue less GP gives cost of sales. Rounded displays can differ by small sums.

Sources: [S1], [S2], [S9].

Storage: full cost and profit path

Storage contains reference enterprise demand plus the bounded data-platform increment. Cost of sales and incremental R&D, support and selling are explicit. Probability and overlap adjustments are already applied before the increment enters these receipts.

Storage full economics

USD millions; forecasts unless marked reported

Quarter	Revenue	Cost of sales	GP	Opex	OP
Q4 2026	4,650.00	2,297.79	2,352.21	735.30	1,616.91
Q1 2027	5,350.00	2,641.47	2,708.53	753.28	1,955.24
Q2 2027	5,400.00	2,600.77	2,799.23	969.71	1,829.53
Q3 2027	5,616.80	2,704.65	2,912.15	1,008.98	1,903.17
Q4 2027	5,834.80	2,809.08	3,025.72	1,048.50	1,977.23
Q1 2028	6,255.80	3,011.18	3,244.62	1,124.53	2,120.10
Q2 2028	6,476.80	3,116.95	3,359.85	1,164.64	2,195.21
Q3 2028	6,679.20	3,214.36	3,464.84	1,201.04	2,263.81
Q4 2028	6,881.60	3,311.76	3,569.84	1,237.43	2,332.41
Q1 2029	7,084.00	3,409.17	3,674.83	1,273.83	2,401.01
Q2 2029	7,286.40	3,506.57	3,779.83	1,310.22	2,469.61
Q3 2029	7,488.80	3,603.98	3,884.82	1,346.62	2,538.21
Q4 2029	7,691.20	3,701.38	3,989.82	1,383.01	2,606.81
Q1 2030	7,893.60	3,798.78	4,094.82	1,419.41	2,675.41
Q2 2030	8,096.00	3,896.19	4,199.81	1,455.80	2,744.01
Q3 2030	8,298.40	3,993.59	4,304.81	1,492.20	2,812.61
Q4 2030	8,500.80	4,091.00	4,409.80	1,528.59	2,881.21

Product profitability remains a LOW-confidence estimate constrained by reported segment costs. Revenue less GP gives cost of sales. Rounded displays can differ by small sums.

Sources: [S1], [S7], [S9].

Client solutions: full cost and profit path

Client solutions retain a 6% modeled OP margin under 16% GP and 10% opex. Commercial and consumer demand form a separate vector. Client profit contributes to the sanctioned segment numerator and full corporate cash budget.

Client solutions full economics

USD millions; forecasts unless marked reported

Quarter	Revenue	Cost of sales	GP	Opex	OP
Q4 2026	14,350.00	12,054.00	2,296.00	1,435.00	861.00
Q1 2027	14,300.00	12,012.00	2,288.00	1,430.00	858.00
Q2 2027	14,500.00	12,180.00	2,320.00	1,450.00	870.00
Q3 2027	14,700.00	12,348.00	2,352.00	1,470.00	882.00
Q4 2027	14,800.00	12,432.00	2,368.00	1,480.00	888.00
Q1 2028	15,000.00	12,600.00	2,400.00	1,500.00	900.00
Q2 2028	15,100.00	12,684.00	2,416.00	1,510.00	906.00
Q3 2028	15,200.00	12,768.00	2,432.00	1,520.00	912.00
Q4 2028	15,300.00	12,852.00	2,448.00	1,530.00	918.00
Q1 2029	15,400.00	12,936.00	2,464.00	1,540.00	924.00
Q2 2029	15,500.00	13,020.00	2,480.00	1,550.00	930.00
Q3 2029	15,600.00	13,104.00	2,496.00	1,560.00	936.00
Q4 2029	15,700.00	13,188.00	2,512.00	1,570.00	942.00
Q1 2030	15,800.00	13,272.00	2,528.00	1,580.00	948.00
Q2 2030	15,900.00	13,356.00	2,544.00	1,590.00	954.00
Q3 2030	16,000.00	13,440.00	2,560.00	1,600.00	960.00
Q4 2030	16,100.00	13,524.00	2,576.00	1,610.00	966.00

Product profitability remains a LOW-confidence estimate constrained by reported segment costs. Revenue less GP gives cost of sales. Rounded displays can differ by small sums.

Sources: [S1], [S2], [S9].

Consolidated proxy, funding and claims

Product GP less opex reconciles to the segment-profit proxy. The following tables expose customer-financing requirements, conventional cash, gross debt proceeds, principal payments and closing debt alongside the operating path.

Debt supports selected customer-financing asset growth. Full face debt remains visible when classified as DFS-related. Cash available for repurchases is determined after the complete funding and distribution budget.

Consolidated segment-profit proxy

USD millions; forecasts unless marked reported

Quarter	Revenue	GP	Opex	Segment OP	OP margin
Q4 2026	49,000.00	9,445.25	3,920.00	5,525.25	11.276%
Q1 2027	52,187.00	9,741.04	3,728.00	6,013.04	11.522%
Q2 2027	54,515.00	10,567.98	4,506.96	6,061.03	11.118%
Q3 2027	57,249.30	10,986.52	4,667.86	6,318.67	11.037%
Q4 2027	59,969.80	11,411.97	4,829.75	6,582.23	10.976%
Q1 2028	62,893.30	11,925.25	5,025.15	6,900.10	10.971%
Q2 2028	65,316.80	12,251.85	5,148.64	7,103.21	10.875%
Q3 2028	67,821.70	12,601.72	5,281.41	7,320.31	10.793%
Q4 2028	70,326.60	12,951.59	5,414.18	7,537.41	10.718%
Q1 2029	72,831.50	13,301.46	5,546.95	7,754.51	10.647%
Q2 2029	75,236.40	13,617.83	5,666.72	7,951.11	10.568%
Q3 2029	77,641.30	13,934.20	5,786.49	8,147.71	10.494%
Q4 2029	80,046.20	14,250.57	5,906.26	8,344.31	10.424%
Q1 2030	82,436.73	14,556.16	6,023.88	8,532.28	10.350%
Q2 2030	84,826.00	14,860.81	6,141.30	8,719.51	10.279%
Q3 2030	87,214.02	15,164.52	6,258.54	8,905.98	10.212%
Q4 2030	89,600.80	15,467.30	6,375.59	9,091.71	10.147%

Other forecast revenue carries zero GP/OP. Corporate SBC, amortization and other corporate cash costs enter the separate company cash bridge.

Customer-financing assets and debt

USD millions; forecasts

Quarter	closing financing receivables	lessor equipment end	financing receivable cash investment	net DFS cash funding	DFS debt end
Q4 2026	22,209.32	3,640.08	1,779.32	1,957.72	22,617.72
Q1 2027	24,290.11	4,141.08	2,080.80	2,259.07	24,876.80
Q2 2027	25,658.03	4,670.30	1,367.91	1,659.99	26,536.79
Q3 2027	27,287.12	5,233.11	1,629.09	1,917.92	28,454.70
Q4 2027	28,971.62	5,830.67	1,684.50	1,996.80	30,451.51
Q1 2028	30,722.33	6,464.34	1,750.71	2,086.33	32,537.84
Q2 2028	32,215.92	7,128.82	1,493.58	1,888.30	34,426.14
Q3 2028	33,761.83	7,825.18	1,545.91	1,961.99	36,388.13
Q4 2028	35,307.74	8,553.43	1,545.91	1,989.89	38,378.02
Q1 2029	36,853.64	9,313.56	1,545.91	2,017.79	40,395.80
Q2 2029	38,335.27	10,104.25	1,481.63	1,988.28	42,384.08
Q3 2029	39,816.90	10,925.50	1,481.63	2,015.02	44,399.10
Q4 2029	41,298.53	11,777.31	1,481.63	2,041.76	46,440.86
Q1 2030	42,770.92	12,659.49	1,472.39	2,060.25	48,501.11
Q2 2030	44,242.50	13,572.02	1,471.58	2,086.10	50,587.21
Q3 2030	45,713.28	14,514.89	1,470.78	2,111.94	52,699.15
Q4 2030	47,183.26	15,488.08	1,469.98	2,137.77	54,836.92

New funding matches 87.5% of financing-asset growth. Principal refinancing remains in separate gross debt proceeds.

Conventional cash and gross debt funding

USD millions; forecasts

Quarter	conventional CFO	total cash capex	conventional FCF	gross debt proceeds	total principal repayments	cash end
Q4 2026	2,934.00	1,197.67	1,736.33	4,633.22	2,675.50	10,797.93
Q1 2027	3,038.64	1,309.84	1,728.80	4,934.57	2,675.50	10,242.20
Q2 2027	3,825.66	1,402.65	2,423.00	2,782.24	1,122.25	9,738.31
Q3 2027	3,813.62	1,507.14	2,306.47	3,040.17	1,122.25	9,331.97
Q4 2027	4,013.49	1,615.47	2,398.02	3,119.05	1,122.25	9,051.64
Q1 2028	4,242.40	1,730.05	2,512.35	3,208.58	1,122.25	8,893.44
Q2 2028	4,706.87	1,837.55	2,869.32	2,801.05	912.75	8,848.73
Q3 2028	4,877.64	1,949.50	2,928.14	2,874.74	912.75	8,890.48
Q4 2028	5,102.96	2,064.15	3,038.81	2,902.64	912.75	9,024.16
Q1 2029	5,320.59	2,181.48	3,139.12	2,930.54	912.75	9,200.91
Q2 2029	5,597.13	2,299.20	3,297.93	2,973.78	985.50	9,459.26
Q3 2029	5,811.98	2,419.50	3,392.48	3,000.52	985.50	9,790.55
Q4 2029	6,029.15	2,542.38	3,486.77	3,027.26	985.50	10,193.90
Q1 2030	6,240.24	2,667.49	3,572.75	3,045.75	985.50	10,613.05
Q2 2030	6,455.25	2,795.14	3,660.11	2,529.35	443.25	11,095.32
Q3 2030	6,671.96	2,925.32	3,746.64	2,555.19	443.25	11,639.20
Q4 2030	6,890.37	3,058.02	3,832.35	2,581.02	443.25	12,243.19

Conventional CFO includes finance-AR cash investment. The full roll separately deducts dividends, equivalents, withholding and gross buybacks.

Complete face-debt path

USD millions; forecasts

Quarter	core debt end	DFS debt end	total debt end
Q4 2026	13,983.00	22,617.72	36,704.72
Q1 2027	13,983.00	24,876.80	38,963.80
Q2 2027	13,983.00	26,536.79	40,623.79
Q3 2027	13,983.00	28,454.70	42,541.70
Q4 2027	13,983.00	30,451.51	44,538.51
Q1 2028	13,983.00	32,537.84	46,624.84
Q2 2028	13,983.00	34,426.14	48,513.14
Q3 2028	13,983.00	36,388.13	50,475.13
Q4 2028	13,983.00	38,378.02	52,465.02
Q1 2029	13,983.00	40,395.80	54,482.80
Q2 2029	13,983.00	42,384.08	56,471.08
Q3 2029	13,983.00	44,399.10	58,486.10
Q4 2029	13,983.00	46,440.86	60,527.86
Q1 2030	13,983.00	48,501.11	62,588.11
Q2 2030	13,983.00	50,587.21	64,674.21
Q3 2030	13,983.00	52,699.15	66,786.15
Q4 2030	13,983.00	54,836.92	68,923.92

Other face debt of 104 remains inside total claims. Core/DFS management reclassification adds zero cash.

Sources: [S9].

All published quarterly ceilings and derivations

The active Q4 2027 window uses $27,905.835773 million segment OP, 20x and 631 million starting-quarter shares, giving $884.49558711. Starting-quarter all-class diluted-equivalent shares remain the convention for every current published window.

The already published Q3 2026 ceiling remains $721.54331756 with its original forecasts and rolling-window vintage. Current actuals and reconstructed input bridges retain separate labels. Fourteen complete current windows are followed by three actual blank tails.

Per-window derivations display rounded components. Exact unrounded selected values determine each result. The target chart ends at the final complete window and leaves incomplete-window outputs blank.

Every current forward target

OP USD millions; shares millions; ceiling USD/share

Quarter	Window through	F4Q segment OP	Multiple	Start shares	Ceiling
Q4 2026	Q3 2027	23,917.98	20	651	734.81
Q1 2027	Q4 2027	24,974.95	20	646.00	773.22
Q2 2027	Q1 2028	25,862.01	20	641.00	806.93
Q3 2027	Q2 2028	26,904.19	20	636.00	846.04
Q4 2027	Q3 2028	27,905.84	20	631.00	884.50
Q1 2028	Q4 2028	28,861.02	20	626.00	922.08
Q2 2028	Q1 2029	29,715.43	20	621.00	957.02
Q3 2028	Q2 2029	30,563.33	20	616.00	992.32
Q4 2028	Q3 2029	31,390.73	20	611.00	1,027.52
Q1 2029	Q4 2029	32,197.63	20	606.00	1,062.63
Q2 2029	Q1 2030	32,975.41	20	601.00	1,097.35
Q3 2029	Q2 2030	33,743.81	20	596.00	1,132.34
Q4 2029	Q3 2030	34,502.08	20	591.00	1,167.58
Q1 2030	Q4 2030	35,249.48	20	586.00	1,203.05
Q2 2030	Blank	Blank	20	Blank	Blank
Q3 2030	Blank	Blank	20	Blank	Blank
Q4 2030	Blank	Blank	20	Blank	Blank

Fourteen complete windows. Q2-Q4 2030 retain true blank F4Q and targets. All 17 multiple controls remain 20. Q3 2026 and earlier historical forecasts and ceilings stay frozen.

Complete valuation-window derivations

OP USD millions; shares millions; ceiling USD/share

Quarter	Four selected OP quarters	Starting shares	Ceiling
Q4 2026	5,525.25 + 6,013.04 + 6,061.03 + 6,318.67	651	734.81
Q1 2027	6,013.04 + 6,061.03 + 6,318.67 + 6,582.23	646.00	773.22
Q2 2027	6,061.03 + 6,318.67 + 6,582.23 + 6,900.10	641.00	806.93
Q3 2027	6,318.67 + 6,582.23 + 6,900.10 + 7,103.21	636.00	846.04
Q4 2027	6,582.23 + 6,900.10 + 7,103.21 + 7,320.31	631.00	884.50
Q1 2028	6,900.10 + 7,103.21 + 7,320.31 + 7,537.41	626.00	922.08
Q2 2028	7,103.21 + 7,320.31 + 7,537.41 + 7,754.51	621.00	957.02
Q3 2028	7,320.31 + 7,537.41 + 7,754.51 + 7,951.11	616.00	992.32
Q4 2028	7,537.41 + 7,754.51 + 7,951.11 + 8,147.71	611.00	1,027.52
Q1 2029	7,754.51 + 7,951.11 + 8,147.71 + 8,344.31	606.00	1,062.63
Q2 2029	7,951.11 + 8,147.71 + 8,344.31 + 8,532.28	601.00	1,097.35
Q3 2029	8,147.71 + 8,344.31 + 8,532.28 + 8,719.51	596.00	1,132.34
Q4 2029	8,344.31 + 8,532.28 + 8,719.51 + 8,905.98	591.00	1,167.58
Q1 2030	8,532.28 + 8,719.51 + 8,905.98 + 9,091.71	586.00	1,203.05

Each unrounded F4Q sum is multiplied by 20 and divided by its starting-quarter all-class diluted-equivalent shares. Displayed constituents are rounded.

Sources: [S9].

Annual cross-check and material sensitivities

Calendar annual summaries sum quarterly operations and cash flows. Year-end cash is a stock. These cross-checks have a separate scope from fiscal guidance.

Sensitivities change attach, premium, manufacturing cost, issuance, independent execution price, financing support, refinancing, tax, interest, NWC, capex or authorization. Every case recomputes complete cash and share paths at the retained 20x multiple.

Without authorization renewal, programme cash is capped at the dated $10.371 billion. That case has an $871.40 active ceiling and 640.486 million starting shares. The combined cash downside protects the $6 billion reserve by reducing buybacks, giving an $863.60 ceiling and 646.264 million starting shares.

Capital-allocation bounds explain segment accounting and full cash ownership. Default capex stress gives an $881.51 ceiling, all incremental D&A in segments gives $870.42, and corporate-only allocation retains $884.50. Every bound expenses full incremental D&A once in company cash.

Calendar-year cross-check

USD millions; forecasts unless marked reported

Year	Revenue	Segment OP	CFO	Gross capex	Buybacks	End cash
2027	223,921.10	24,974.95	14,691.40	5,835.11	15,465.89	9,051.64
2028	266,358.40	28,861.02	18,929.87	7,581.25	16,239.19	9,024.16
2029	305,755.40	32,197.63	22,758.85	9,442.56	17,051.15	10,193.90
2030	344,077.55	35,249.48	26,257.82	11,445.98	17,903.70	12,243.19

Calendar totals differ from fiscal guidance. Flow measures sum four quarters; cash is the year-end stock.

Full company bounded sensitivities

Ceiling USD/share; shares millions; cash USD millions

Diagnostic	Active ceiling	Start shares	Minimum cash	Buyback shortfall
central	884.50	631.00	8,848.73	0.00
both existing options p0	878.81	631.00	8,728.90	0.00
storage p0	881.76	631.00	8,802.38	0.00
storage p1	886.32	631.00	8,879.63	0.00
premium p0	881.55	631.00	8,775.79	0.00
premium p1	887.44	631.00	8,921.67	0.00
issuance 16m annual H1 annualized	884.50	631.00	6,000.00	7,915.77
issuance 23m annual FY24	875.65	637.37	6,000.00	24,513.56
execution 750 independent	876.76	636.57	6,000.00	29,157.90
execution 1000 independent	868.46	642.65	6,000.00	64,499.41
DFS new asset funding 70pct	884.50	631.00	6,000.00	697.47
no new DFS asset funding	872.91	639.37	6,000.00	25,563.14
no core principal refinancing	884.50	631.00	6,000.00	2,031.63
no DFS principal refinancing	881.51	633.13	6,000.00	5,058.49
cash tax 22pct	884.50	631.00	6,938.22	0.00
interest 6pct	884.50	631.00	7,816.94	0.00
incremental commercial NWC 5pct	884.50	631.00	7,847.95	0.00
capex plus20pct with new cohort DA	881.51	631.00	6,800.46	0.00
capex plus20pct all incremental DA in segments	870.42	631.00	6,800.46	0.00
capex plus20pct all incremental DA group only	884.50	631.00	6,800.46	0.00
post guide manufacturing cost 100bp	853.58	631.00	7,604.37	0.00
AI OP 450bp	871.99	631.00	8,461.95	0.00
no repurchase authorization renewal	871.40	640.49	10,242.20	60,038.92
combined cash downside	863.60	646.26	6,000.00	63,254.66

Every case recomputes cash, capital, debt, tax and shares. Capex allocation alternatives preserve full company cash cost. No case changes the selected 20x multiple. Saved-native cases and exact restoration have separate genuine validation receipts.

Sources: [S9].

Scorecard, risk transmission and tests

The analytical score remains 45/60, or 75. Procurement, integration and service support the core thesis. Actual conversion supports the cycle score. AI infrastructure and enterprise data broaden the eligible market, with overlap among complete systems, components and services.

Four risk classes remain separately scored: financing/counterparty, execution/supply, competition/capture and accounting/model uncertainty. They transmit through asset collection, matched-part acceptance, costs and captured price, corporate exclusions and funded shares. The new OEM packet changes no class.

The useful quarterly tests are accepted sales, product economics, priced storage adoption, contractual premiums, cash collection, financing-asset quality, maturities/refinancing and authorized gross repurchases. Delayed acceptance, cost beyond the allowance, credit loss or weaker funding can lower the affected inputs.

Late-2026 and first-half-2027 platform availability requires customer qualification and useful paid adoption. The finite premium already fades through 2030. Any extension requires new measured economics.

Framework score arithmetic

Framework points

Category	Points	Evidence / condition
Core thesis	15 / 20	Procurement, integration, enterprise service; customer bypass
Cycle	10 / 10	Reported conversion and reviewed backlog
TAM	8 / 10	AI systems and enterprise data; system/component overlap
Catalysts	5 / 5	Accepted deployments and named platform releases
Macro	9 / 10	AI investment; credit, power and facility constraints
Alpha	2 / 5	Product economics and funded shares
Risks	-4	Financing, execution, competition, accounting/model
Total	45 / 60 = 75	Analytical Base 75; Excel Base 75

The source packet changes no selected economics or scored risk class. Individual event probabilities retain separate economic roles.

Sources: [S1], [S2], [S8], [S9].

Cross-company relationships and watch pairs

NVIDIA, AMD and Intel accelerators and CPUs are purchased content in Dell systems. Strong memory, storage and networking demand can improve supplier economics while affecting integrator costs, matched-part availability and acceptance. Each company retains its captured wallet.

Infrastructure operators can purchase hardware, financing and services while earning revenue at another layer. Their cloud-service contracts provide deployment context. Dell revenue is limited to priced, accepted and collectible equipment and service scope.

HPE, Supermicro, Lenovo and ODMs test delivery, total customer cost, enterprise service and price realization. Enterprise-data competitors test incremental Dell IP profit after R&D, support and selling. These relationships remain within the owning revenue and cost bridges.

Sources: [S1], [S2], [S4], [S8].

Source completeness and remaining gaps

The verified source set includes both latest full issuer earnings transcripts: Q2 FY2027, 26 pages, and Q1 FY2027, 14 pages, with prepared remarks and management Q&A. Full 9 September CEO and 10 September finance conference transcripts were reused. Financial, financing, debt, lease, equity, tax and cash tables retain recorded read scopes. Independent full-audio listening is unclaimed.

All ten pages of the translated anonymous owner packet were read. Publisher date, unresolved call date and attribution limits remain visible. It is one correlated group. Peer order values and rack prices add no automatic Dell revenue. Licensed raw packet exhibits remain outside the current report.

H1 dividend/equivalent cash is $869 million, Note 12 common paid rows total $814 million, and declarations total $831 million. The $55 million cash-scope difference stays unallocated. H1 treasury book cost of $5.477 billion differs from programme cash of $5.424 billion by $53 million, with no complete source allocation.

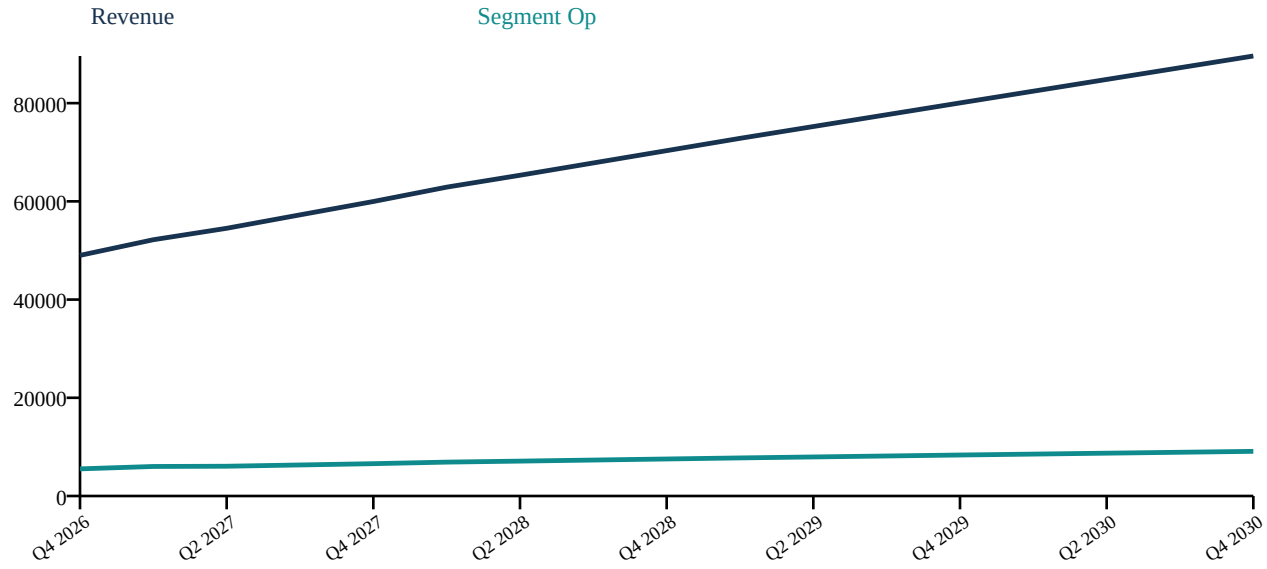
Interim paid tax/interest and October Dell Bank maturity settlement/refinancing remain unverified in the cached source set. The source supplies no fixed minimum-cash floor or unconditional future repurchase commitment. The $6 billion reserve and future board renewals are explicit forecast conditions.

Product GP/opex, Dell GB300 mix, customer wallet, priced attach, actual delivery premium and future funding retain LOW confidence. Saved-file checks verified all 17 financial quarters, 14 complete targets, owner controls, raw history and source formulas. Seventeen parameter cases were exported, reopened and restored with the bundled ArtifactTool engine. Microsoft Excel Desktop execution remains unverified for these saved files.

Sources: [S1], [S2], [S3], [S4], [S5], [S8], [S9].

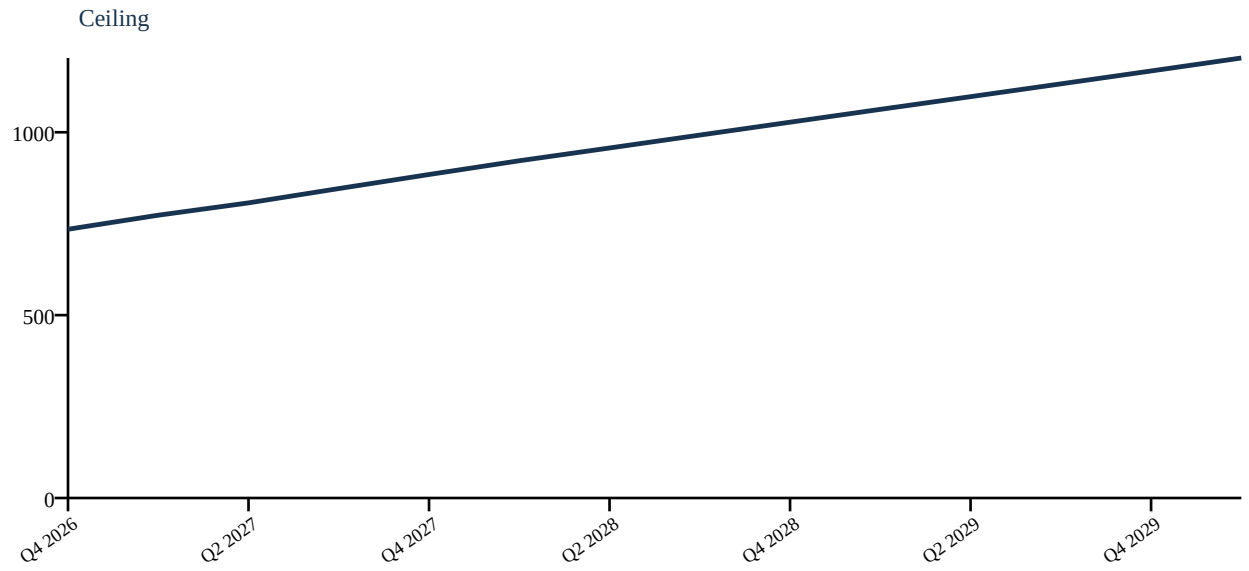
Current model charts

Current revenue and segment operating profit



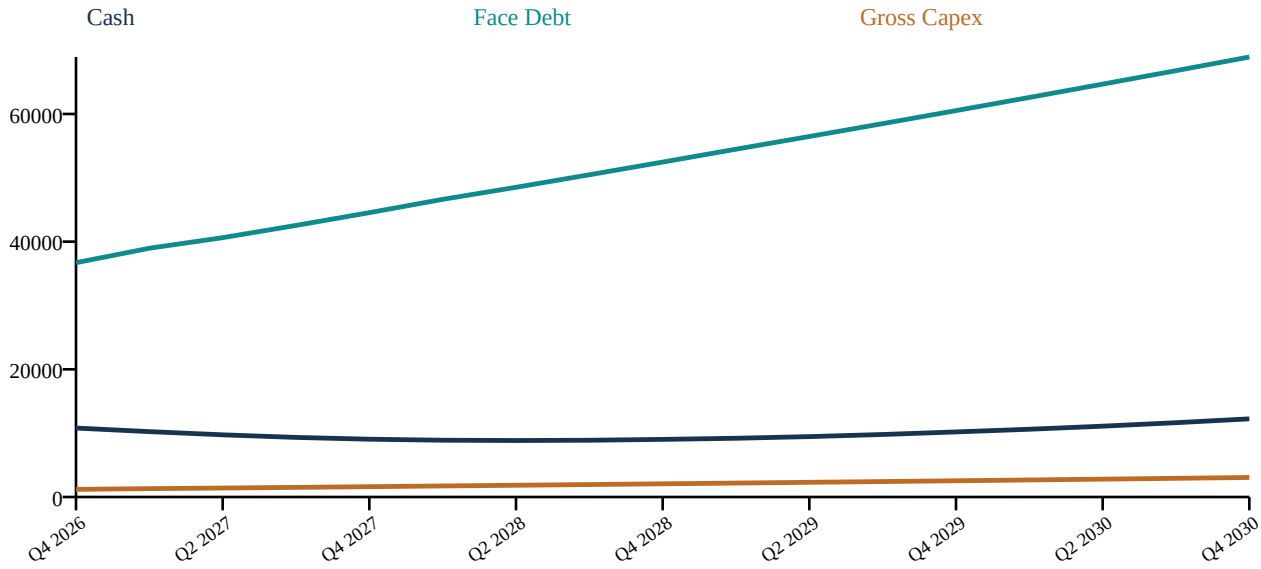
USD millions; modeled quarter

Current forward ceiling path



USD per all-class diluted-equivalent share

Current cash, face debt and gross capex



USD millions; modeled quarter

Source register

[S1] Dell Q2 FY2027 Form 10-Q and financial tables. Quarter ended 31 July 2026; filing 8 September 2026.

Recorded financial-statement and note read scopes; cash, financing, debt, lease, equity, tax and segment tables.

[S2] Dell Q2 FY2027 earnings call and performance review. 1 September 2026.

https://investors.delltechnologies.com/_assets/_017113daa5d08c5217e7db6d7c230700/delltechnologies/db/3595/34748/webcast_transcript/Q2_FY27_Transcript.pdf

Full 26-page transcript including prepared remarks and management Q&A; original performance-review exhibits.

[S3] Dell Q1 FY2027 earnings call. 28 May 2026.

https://investors.delltechnologies.com/_assets/_017113daa5d08c5217e7db6d7c230700/delltechnologies/db/3595/34521/webcast_transcript/Q1_FY27_Transcript.pdf

Full 14-page transcript including prepared remarks and Q&A.

[S4] Dell CEO and finance conference transcripts. 9 and 10 September 2026.

https://investors.delltechnologies.com/_assets/_017113daa5d08c5217e7db6d7c230700/delltechnologies/db/3572/34756/file/Goldman_Sachs_Conference_Transcript.pdf

Both full conference transcripts reused; Citi original separately retained.

[S5] Dell FY2026 Form 10-K and cash-scope extraction. Year ended 30 January 2026; filing 16 March 2026.

Dated paid tax, interest, shares, returns, capex and leases; current independent cash extraction bound.

[S6] Prior complete Dell analysis and source register. 21 October 2026.

Original full Markdown and 13 images retained byte-for-byte; 35 original PDF pages retained in the final rendering plan.

[S7] Dell AI Data Platform announcement. 6 October 2026.

Named products, timing and qualification; internal-benchmark limitations and existing overlap retained.

[S8] P Equity Research anonymous translated OEM expert call. Publication 24 October 2026; exact call date unresolved.

All ten pages read; one correlated source group; translated peer/customer context and unresolved Dell wallet; licensed raw exhibits retained privately.

[S9] Selected full company financial and valuation law. 6 November 2026.

Exact selected R2 inputs; 17 financial quarters, 14 complete windows, three blank tails and genuine financial/native/main approvals.

Model conventions and verification

The linked technical workbook retains the complete original Dell model and its historical formulas. Four current sheets expose selected controls, product operations, company cash and funding, and current valuations. The actual main portfolio has one visible Master Portfolio sheet.

The saved files were recalculated with the bundled ArtifactTool engine. Independent financial arithmetic and saved-file checks cover the selected company forecasts, cash constraints, source history and current targets. Microsoft Excel Desktop execution remains unverified.

Open the editable technical workbook.

Historical appendix | 21 October 2026

The following 35 original pages preserve the complete earlier analysis, source images and forward forecasts. Current-quarter and future estimates appear in the 6 November section above. Published earlier-quarter forecasts keep their original information vintage. Each original page retains its dated header.

Dell: converting infrastructure demand into profit

Dell's procurement scale, system integration and enterprise support can turn scarce components into working AI infrastructure faster. The durable profit opportunity also includes proprietary storage and software, where Dell captures more value than it earns on purchased accelerator content. Execution, product mix and customer cash quality determine whether that opportunity reaches shareholders.

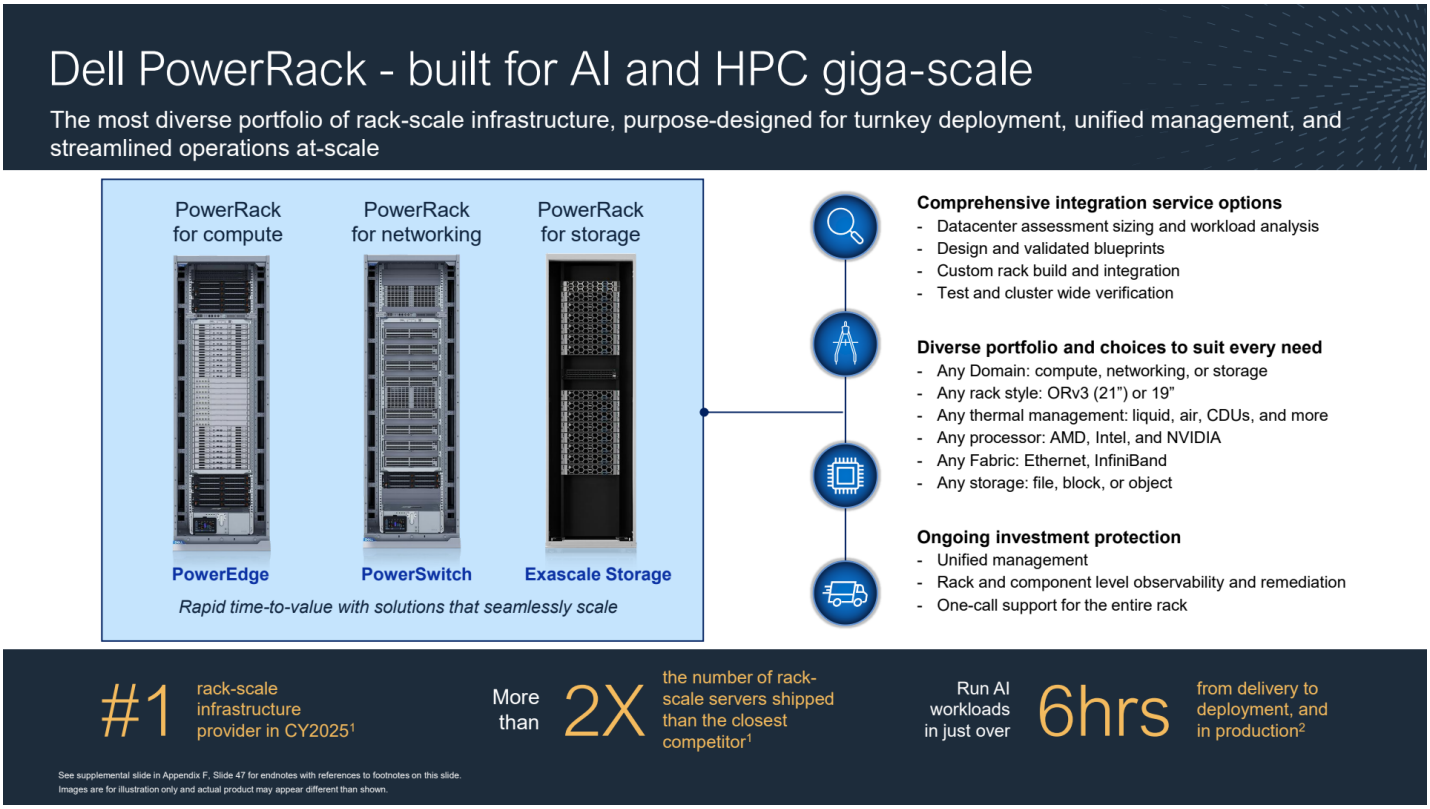
The active Q4 2027 operating ceiling is about $884 per share under the existing 20x segment-based operating-profit method. The operating case requires strong AI-system conversion, continued traditional-server and storage demand, cost control and funded share retirement. Later forecasts remain LOW-confidence assumptions.

Research snapshot	Current state
Date / latest actual	21 October 2026. Latest results: fiscal Q2 2027 ended 31 July 2026, released 1 September.
Status / classification	Covered; holding status not asserted. Systems-platform beneficiary: procurement, integration and services.
Analytical score / band	45 /60 =75%; High Conviction
Protected Excel Base	75; current workbook authority retained separately from the analytical score
Historical price snapshot	USD 462; 20 October 2026 regular close. No live-price claim.
Latest actual weighted diluted shares	652 million, all economic classes included
Actual outstanding share snapshot	635,812,750 shares at 1 September 2026 across Classes A, B and C; a different measure and date from weighted diluted shares
Market capitalization	Not independently verified. The forecast share denominator is not used to label a model-implied capitalization as actual.
Active ceiling	Q4 2027: USD 884
Exact valued window	Q4 2027-Q3 2028; forward OP USD 27,906 million
Method / denominator	20x ISG + CSG segment-based OP proxy / 631 million starting-quarter diluted-equivalent shares
Accounting qualification	Segment OP excludes specified group corporate items and SBC; the separate actual GAAP reconciliation is shown below.

Financial tables use USD millions, shares in millions and ceilings in USD per share. Reader-facing displays are rounded to whole values and may not add exactly; the frozen model and linked calculations retain full precision. Body discussion excludes price-dependent return, EV and ranking. The original filename is preserved for continuity; current analysis uses fiscal Q2 2027 actuals.

Products, customers and competitive position

Infrastructure Solutions Group combines AI-optimized servers, traditional servers/networking and storage. Client Solutions Group supplies commercial and consumer PCs. The product model keeps those four economic lines and other activity separate. AI hardware can generate enormous receipts while much of its purchase price belongs to GPU, memory and networking suppliers.



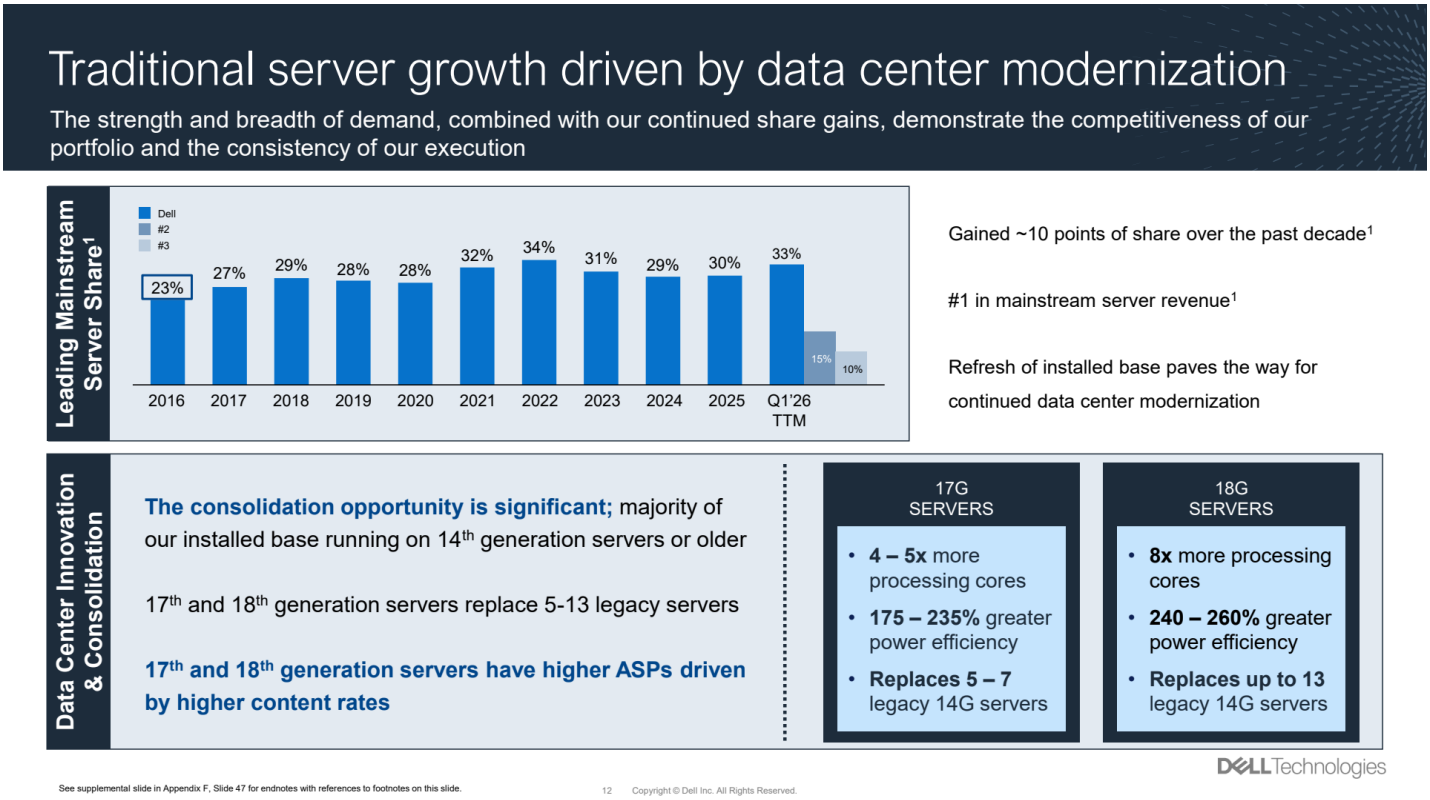
Dell fiscal Q2 2027 performance review, 1 September 2026, original page 11. PowerRack integration spans compute, networking and storage. Market leadership and deployment performance are issuer claims with the source footnotes; the schematic is illustrative, not a disclosed customer order.

Enterprise relationships, financing, global service and validated rack integration can lower customer deployment risk. Large cloud buyers can also buy directly from ODMs or integrate systems internally. HPE, Supermicro, Lenovo, generic vendors and customer-designed systems constrain hardware pricing. Dell's advantage is operational and commercial rather than a sole-source semiconductor process.

The company can earn more when customers need a complete deployment and ongoing support. Customers supplying their own GPUs, using a different storage architecture or purchasing directly change the captured wallet. Counting total AI capex as Dell sales would miss those boundaries.

Supercycle, replacement curve and expanded TAM

The near-term cycle combines AI deployment with traditional-server modernization. New generations pack more cores and memory into fewer boxes, so dollar revenue, units and customer compute capacity can move differently. Component inflation can raise system ASP while compressing the integrator's profit; a larger invoice alone does not prove greater value capture.



Dell fiscal Q2 2027 performance review, original page 12. Issuer server-share and consolidation comparisons retain their benchmark scope. Slide generation comparisons differ from some call examples; they are not a universal unit-conversion ratio or a Dell revenue forecast.

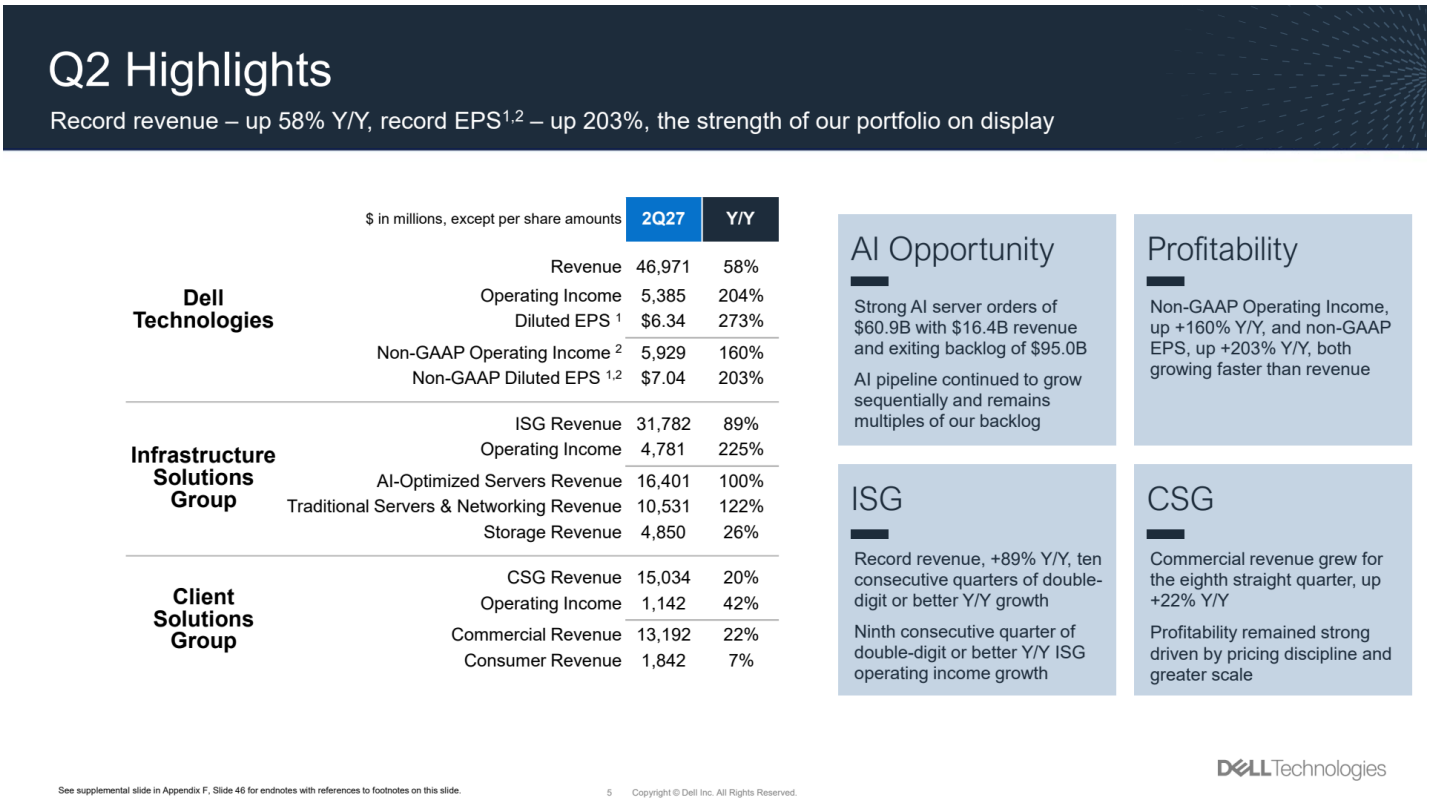
TAM phase	Company capture mechanism	Treatment
Current AI infrastructure	Systems, integration, enterprise storage and support for deployed workloads	Current demand is already central to the forecast. Purchased component and complete-system wallets overlap.
Physical AI / enterprise agents	More inference, retained context, industrial and edge deployments can require storage and management	Framework planning weight 50% for adjacent 2026-2030 applications; it is not an extra multiplier on already modeled demand.
New longer-term applications	Distributed AI and future workloads may create infrastructure and data-management needs	Framework planning weight 20% for distant optional applications. No separate revenue inferred without a dated, qualified wallet.

Management's very large agentic-compute market forecasts are industry hypotheses, not Dell sales guidance. The model uses company receipts and bounded storage/premium cohorts instead of multiplying a power or token forecast into Dell revenue.

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Demand quality and the physical conversion gate

Dell reported quarterly AI orders of about $61 billion, AI sales of about $16 billion and ending backlog of $95 billion. Orders, backlog and pipeline describe overlapping stages of the same contracts. Backlog is a stock; recognized sales are a flow. Adding them creates duplicate demand.



Q2 Highlights

Record revenue – up 58% Y/Y, record EPS[1,2] – up 203%, the strength of our portfolio on display

	$ in millions, except per share amounts	2Q27	Y/Y
Dell Technologies	Revenue	46,971	58%
	Operating Income	5,385	204%
	Diluted EPS [1]	$6.34	273%
	Non-GAAP Operating Income [2]	5,929	160%
	Non-GAAP Diluted EPS [1,2]	$7.04	203%
Infrastructure Solutions Group	ISG Revenue	31,782	89%
	Operating Income	4,781	225%
	AI-Optimized Servers Revenue	16,401	100%
	Traditional Servers & Networking Revenue	10,531	122%
	Storage Revenue	4,850	26%
Client Solutions Group	CSG Revenue	15,034	20%
	Operating Income	1,142	42%
	Commercial Revenue	13,192	22%
	Consumer Revenue	1,842	7%

AI Opportunity

Strong AI server orders of $60.9B with $16.4B revenue and exiting backlog of $95.0B

AI pipeline continued to grow sequentially and remains multiples of our backlog

Profitability

Non-GAAP Operating Income, up +160% Y/Y, and non-GAAP EPS, up +203% Y/Y, both growing faster than revenue

ISG

Record revenue, +89% Y/Y, ten consecutive quarters of double-digit or better Y/Y growth

Ninth consecutive quarter of double-digit or better Y/Y ISG operating income growth

CSG

Commercial revenue grew for the eighth straight quarter, up +22% Y/Y

Profitability remained strong driven by pricing discipline and greater scale

See supplemental slide in Appendix F, Slide 46 for endnotes with references to footnotes on this slide.

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Dell fiscal Q2 2027 performance review, original page 5. The original issuer exhibit shows AI orders, sales and backlog together with financial results. These measures are not independent revenue pools.

At the September Citi conference, the CFO described backlog as noncancelable after customer-credit, financing, design and approximate data-center-readiness review. Design work and component planning improve its conversion quality, while timing can still slip. More than six thousand customer relationships do not eliminate concentration: the filing says most AI revenue comes from relatively few large customers and cloud providers.

Dell identifies matched components as the main constraint rather than final assembly capacity. DRAM and NAND are the largest bottlenecks, with CPUs, disks, optics, substrates, power components and cooling equipment also relevant. A rack cannot be accepted merely because most of its parts are available. Revenue recognition and cash collection need complete delivery and customer readiness.

Latest actuals and the segment accounting bridge

Fiscal Q2 2027 actual	USD million	Source meaning
AI servers	16,401	ISG product revenue
Traditional servers / networking	10,531	ISG product revenue
Storage	4,850	ISG product revenue
ISG total	31,782	Sum of three product lines
CSG	15,034	Commercial 13,192; consumer 1,842
Other revenue	155	Reconciles segment receipts to company total
Company revenue	46,971	Exact reported actual
ISG gross profit	7,513	Revenue 31,782 less cost of revenue 24,269
ISG opex	2,732	SG&A2,036 plus R&D696
ISG segment OP	4,781	Exact segment result
CSG gross profit	2,408	Revenue 15,034 less cost of revenue 12,626
CSG opex	1,266	SG&A1,050 plus R&D216
CSG segment OP	1,142	Exact segment result
ISG + CSG OP proxy	5,923	Sanctioned model basis
Other OP	6	Not included in valued segment proxy
Group non-GAAP OP	5,929	Segment proxy plus other OP
Corporate adjustments	544	Amortization 96 + SBC184 + other corporate 264
GAAP OP	5,385	5,929 minus 544

Business units trending

	$ in millions	2Q26	3Q26	4Q26	1Q27	2Q27	Y/Y	Q/Q
Dell Technologies	Revenue	29,776	27,005	33,379	43,842	46,971	58%	7%
	Operating Income	1,773	2,119	3,092	3,656	5,385	204%	47%
	Non-GAAP Operating Income [1]	2,284	2,503	3,538	4,235	5,929	160%	40%
ISG + CSG	ISG + CSG Revenue	29,303	26,585	33,096	43,618	46,816	60%	7%
	ISG + CSG Operating Income	2,273	2,491	3,529	4,225	5,923	161%	40%
Infrastructure Solutions Group	ISG Revenue	16,800	14,107	19,602	29,009	31,782	89%	10%
	Operating Income	1,470	1,743	2,900	3,055	4,781	225%	56%
	AI-Optimized Servers Revenue	8,208	5,641	8,952	16,132	16,401	100%	2%
	Traditional Servers & Networking Revenue	4,736	4,484	5,853	8,543	10,531	122%	23%
	Storage Revenue	3,856	3,982	4,797	4,334	4,850	26%	12%
Client Solutions Group	CSG Revenue	12,503	12,478	13,494	14,609	15,034	20%	3%
	Operating Income	803	748	629	1,170	1,142	42%	-2%
	Commercial Revenue	10,781	10,621	11,614	13,020	13,192	22%	1%
	Consumer Revenue	1,722	1,857	1,880	1,589	1,842	7%	16%
Corporate and Other	Other Revenue	473	420	283	224	155	-67%	-31%
	Operating Income	11	12	9	10	6	-45%	-40%

[1] See supplemental slides in Appendix C for reconciliation of non-GAAP measures to their most directly comparable GAAP measures.

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Dell fiscal Q2 2027 performance review, original page 26. Actual business-unit revenue and profit are shown separately from company GAAP/non-GAAP results. Product revenue is disclosed, but AI/traditional/storage product gross margins are not.

The valued segment proxy excludes the group corporate reconciliation. It must not be called GAAP operating profit or net income. Company revenue includes other activities, while the valued earnings proxy uses ISG and CSG; other profit is separately reconciled and set to zero in the forward proxy.

What the valuation basis includes

Supplemental non-GAAP measures

Operating income

$ in millions	2Q26	3Q26	4Q26	1Q27	2Q27
GAAP operating income	**1,773**	**2,119**	**3,092**	**3,656**	**5,385**
Non-GAAP adjustments:					
Amortization of intangibles [1]	125	121	125	97	96
Stock-based compensation	179	165	189	189	184
Other corporate expenses [2]	207	98	132	293	264
Total adjustments to operating income	**511**	**384**	**446**	**579**	**544**
Non-GAAP operating income	**2,284**	**2,503**	**3,538**	**4,235**	**5,929**
Non-GAAP operating income as a % of revenue	*7.7%*	*9.3%*	*10.6%*	*9.7%*	*12.6%*

[1] This amount includes non-cash purchase accounting adjustments primarily related to the EMC merger transaction in 3Q17.

[2] Consists primarily of severance expenses, payroll taxes associated with stock-based compensation, transaction-related expenses, impairment charges, and incentive charges related to equity investments.

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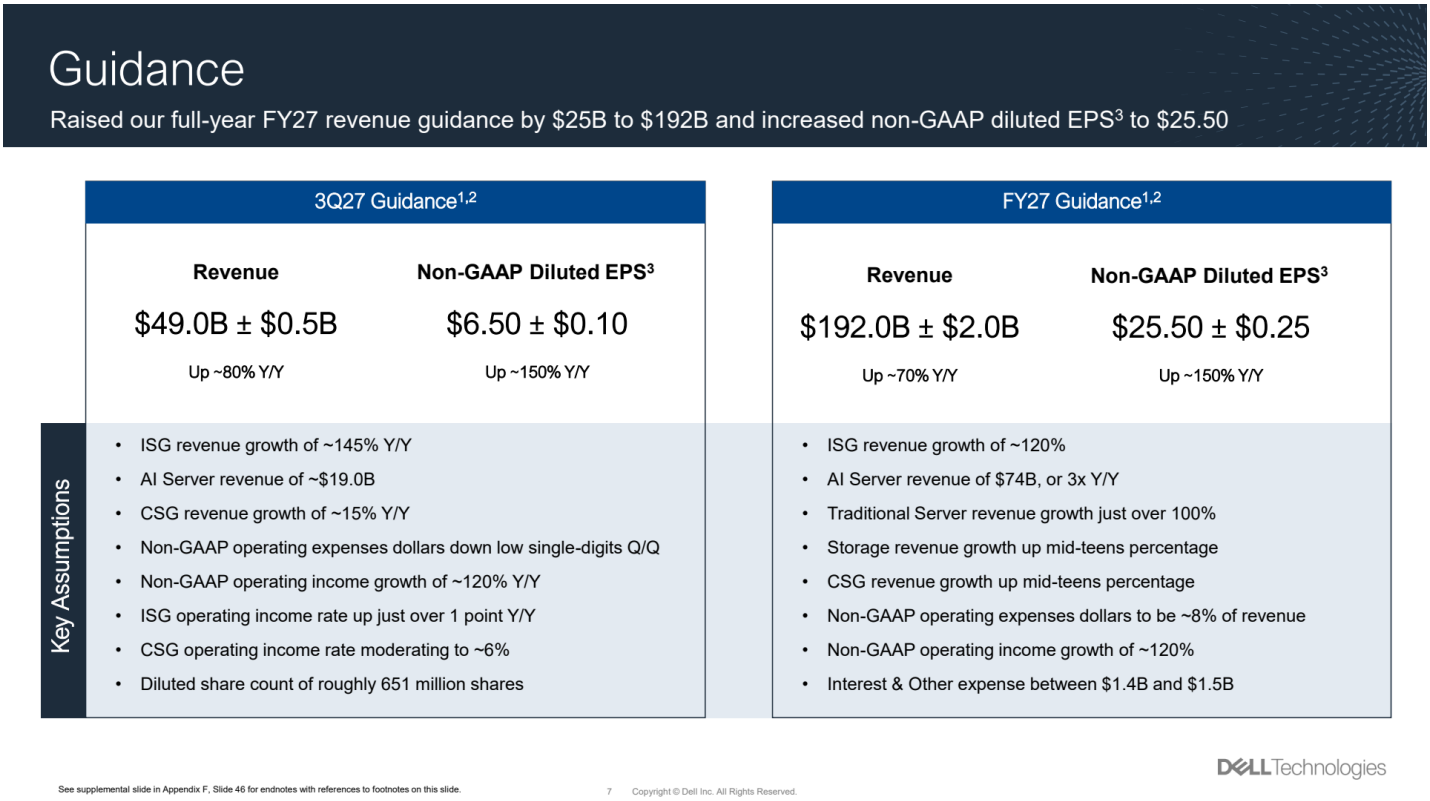
Dell fiscal Q2 2027 performance review, original page 33. Original GAAP-to-non-GAAP operating-income reconciliation. The fiscal Q2 adjustment is 544 million dollars, including 184 million of stock compensation. Figures are actuals, not a projected recurring deduction schedule.

The sanctioned method remains 20x forward-four-quarter segment-based OP divided by starting-quarter all-class diluted-equivalent shares. This research retains that method. It does not switch to EPS, EBITDA, enterprise value or a GAAP multiple, and it does not claim that the omitted group adjustments vanish economically.

The exact historical reconciliation makes comparability transparent. Forward product costs include modeled procurement, manufacturing, R&D, engineering, support and selling activity on the segment basis. A change to the valuation basis or an additional corporate deduction would be a separate methodology decision.

Basis	Fiscal Q2 2027 OP, USD million	Use
ISG + CSG segment proxy	5,923	Active valuation basis
Company non-GAAP	5,929	Guide and accounting consistency check
Company GAAP	5,385	Reported financial reconciliation

Fiscal guidance and exact allocation



Dell fiscal Q2 2027 performance review, original page 7. Original fiscal Q3 and full-year fiscal 2027 guidance. Fiscal 2027 ends in January 2027; fiscal Q3 ends in October 2026 and maps to calendar Q4 under the existing company convention.

Guide / calibration field	Fiscal Q3 2027	Fiscal FY2027
Revenue midpoint, USD million	49,000	192,000
Revenue range	48,500-49,500	190,000-194,000
AI receipts, USD million	19,000	74,000
Non-GAAP EPS midpoint, US cents	650	2,550
Non-GAAP EPS range, US cents	640-660	2,525-2,575
Diluted shares	Approximately 651 million	Model fiscal average 651 million used only for consistency calibration
CSG OP margin	Approximately 6%	Management reiterated roughly 6% into the next fiscal quarter
Operating costs	Down low-single digits sequentially	Approximately 8% of revenue

Guide / calibration field	Fiscal Q3 2027	Fiscal FY2027
Interest/other and tax	Not the valuation metric	1,400-1,500 expense;18% tax used in EPS consistency check

EPS is shown in whole US cents:100 cents equals one dollar. Source images retain the original dollar display.

The model aligns the fiscal totals exactly. Storage must exceed the prior year by more than $2,500 million. Within the company total, the product allocation gives storage about $19 billion. That is a product mix allocation, not another addition to total guided sales.

FY2027 fiscal quarter	Revenue, USD m	AI, USD m	Storage, USD m
Q1 actual ended May 2026	43,842	16,132	4,334
FQ2 FY2027 (ended 2026-07-31)	46,971	16,401	4,850
FQ3 FY2027	49,000	19,000	4,650
FQ4 FY2027	52,187	22,467	5,350
Full fiscal year	192,000	74,000	19,184

FY2026 storage was 16,631 million; adding more than 2,500 requires a fiscal 2027 total above 19,131 million. The 19,184 allocation meets that boundary. The near-term figures in this table precede the later storage-attach and deployment-premium contributions.

Product profitability: constrained estimates

The filing discloses ISG and CSG revenue, gross costs, SG&A and R&D. It does not disclose separate AI, traditional-server and storage gross margins. The model therefore starts with explicit AI and traditional assumptions, then allocates the remaining reported ISG costs to storage. The resulting storage margin is a residual estimate, not a measured product result.

Product calibration	GP per $1,000 sales	Opex per $1,000 sales	OP per $1,000 sales	Evidence status
AI	85	30	55	LOW estimated split; OP aligns with management mid-single digits
Traditional servers	340	130	210	LOW estimated split
Storage residual	523	180	344	LOW residual needed to tie to reported ISG totals
CSG	160	84	76	HIGH reported segment cost and profit totals

Cost calibration is expressed as dollars for each $1,000 of product sales. Values are independently rounded. The storage allocation is a LOW-confidence residual, so rounded GP less rounded opex may differ from rounded OP. Exact calculations remain in the model.

Storage's proprietary software and platform mix can support higher profit capture than purchased accelerator content. The exact magnitude remains uncertain. Applying the same blended ISG margin to every AI dollar would obscure the product economics.

AI margin and traditional-server margin sensitivities reallocate the storage residual to keep the reported actual ISG profit fixed. They are coherent alternative calibrations. Consequently, their results are not simple partial derivatives of one margin with every other margin held constant.

Near-term costs and post-guidance normalization

The model constrains the next fiscal quarter to guidance rather than extending the best actual margin indefinitely. It uses about $4 billion of operating expense, ISG margin of about 14% and CSG margin of 6%. The exact calculation is in the table. CSG keeps its own cost rates while ISG absorbs the residual cost allocation.

Calibration term	Calendar Q4 2026 / fiscal Q3	Calendar Q1 2027 / fiscal Q4
Receipts, USD million	49,000	52,187
Total proxy opex	3,920	3,728
CSG OP per $1,000 sales	60	60
ISG OP per $1,000 sales	135	136
Segment-proxy OP	5,525	6,013
ISG manufacturing normalization per $1,000 sales	18	17
ISG opex weight retained, rounded percent	88%	78%

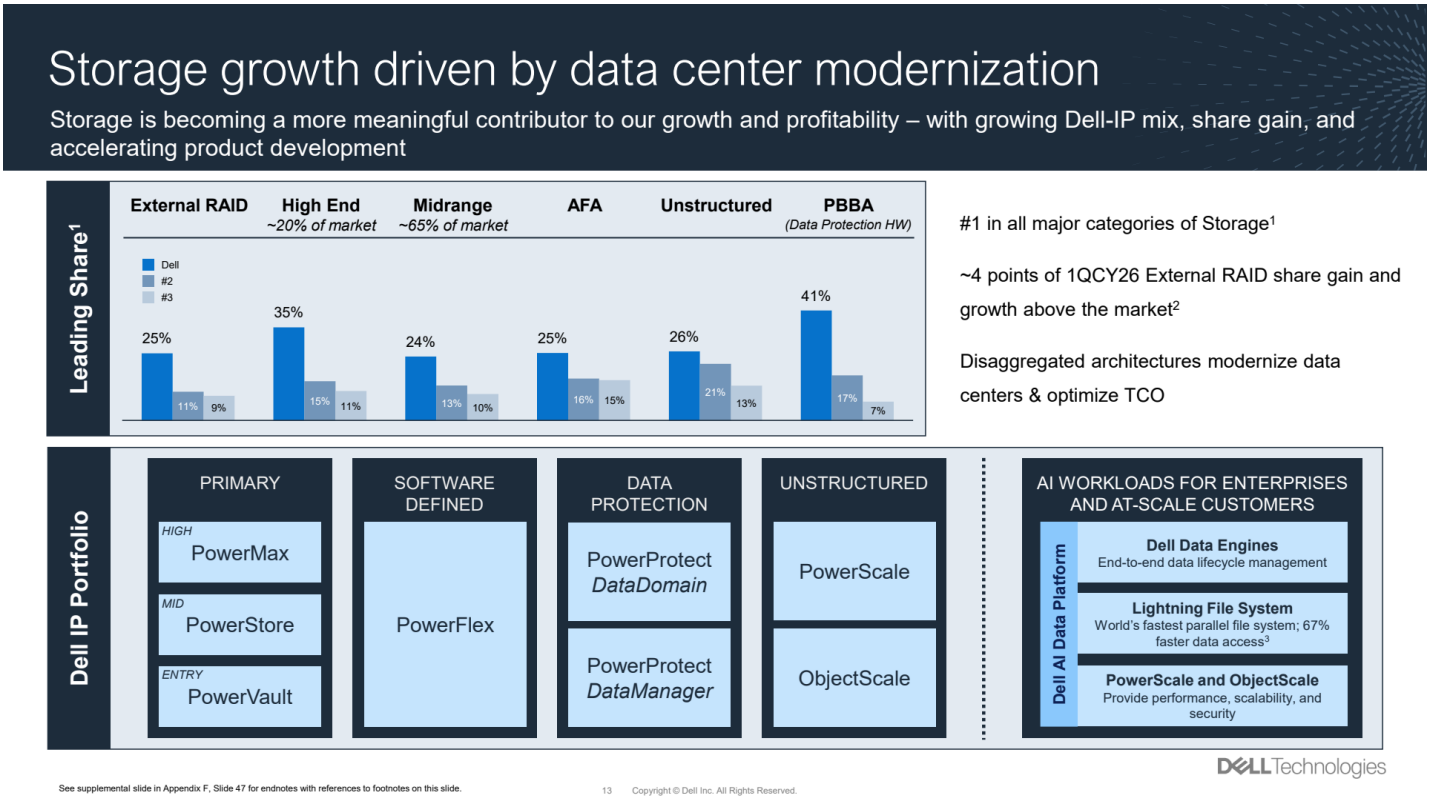
January profit is a labeled consistency calibration from annual non-GAAP EPS, interest and tax, after the actual first-half and next-quarter bridge. Approximately 8% annual opex also constrains the January expense allocation. Neither calculation is a newly disclosed product margin or a change to the sanctioned valuation basis.

After the guided fiscal year, the model uses AI, traditional, storage and client product GP/opex rates rather than a common ISG OP margin. It then subtracts an additional 50 basis points of ISG revenue as manufacturing/procurement cost. This is a LOW-confidence input-cost allowance with zero and double-cost sensitivities. It is a real cost in the model, not a renamed corporate deduction.

Post-guidance product	Model cost rule: dollars per $1,000 sales
AI	85 gross profit less30 recurring opex, before5 additional procurement/manufacturing cost
Traditional	340 gross profit less130 recurring opex, before5 additional procurement/manufacturing cost

Post-guidance product	Model cost rule: dollars per $1,000 sales
Storage	About523 gross profit less180 recurring opex, before5 additional procurement/manufacturing cost; LOW residual estimate
CSG	160 gross profit less100 opex =60 operating profit
Other	Forward receipts retained; zero valued OP

Storage and proprietary data-platform capture



Dell fiscal Q2 2027 performance review, original page 13. Issuer storage-share and IP portfolio exhibit. Platform and selected performance claims retain the source benchmark limitations; they do not establish an absolute attach-revenue amount.

Enterprise agents require usable context, data preparation, retained work and access control. Dell's storage/software portfolio can serve those needs alongside compute. Management reported six quarters of above-market Dell-IP demand. Lightning remained in beta or competitive trials rather than a material current-revenue contributor.

The October data-platform announcement supplies a named availability catalyst. Data processing enhancements are planned for December 2026; semantic, knowledge-graph and agent features for the first half of 2027. Internal benchmark speedups do not equal a measured increase in customer spending.

The active storage hypothesis gives a 60% subjective probability to a bounded attach opportunity. Only 20% of reference storage is eligible, with 20% additional attach and 50% removed for overlap with the already-growing storage/IP case. The conditional full-ramp increment is 2% of reference storage; the weighted increment is $12 per $1,000 of reference storage receipts. It begins after product availability and ramps over several quarters.

Storage bridge	Frozen input
Probability	60%
Conditional eligible cohort	20% of reference storage receipts
Conditional extra attach	20%
Overlap removed	50%
Ramp	Q3 2027:25%; Q4 2027:50%; Q1 2028:75%; Q2 2028 onward:100% within the modeled horizon
Incremental costs	55% GP, less 20% receipts for engineering, R&D, support and selling;35% OP contribution
Active four-quarter contribution	Receipts 247; OP 86 million

Deployment speed and a finite price premium

Management describes an advantage of four to six weeks in major deployments and customer willingness to pay for earlier operation. The economic reason is the cost of idle, expensive compute. The claim is company-attributed, with no independently measured premium percentage. The model uses a small explicit commercial proxy on new contracts.

Deployment premium bridge	Frozen input
Subjective probability	50%
Eligible receipts	25% of newly priced/repriceable AI sales; fixed backlog is excluded
Conditional price premium	1% on the eligible cohort
Recognition ramp	Half ramp in Q2 2027; full ramp from Q3 2027
Incremental cost	25% of premium receipts for procurement/expediting plus 15% for engineering/support;60% net OP contribution
Fade	Q1 2030:75%; Q2:50%; Q3:25%; Q4:zero
Active four-quarter contribution	Receipts 155; OP 93 million

The premium is separate from ordinary component pass-through and efficient delivery already represented in reference margins. It is neither a margin increase on all AI revenue nor a promise that a faster deployment always earns more. Extra expediting and support costs reduce it, and the benefit fades as rivals respond.

Raise the weight if comparable new contracts demonstrate higher realized pricing for matched scope and earlier acceptance. Reduce it if delivery advantage narrows, customers resist premiums or extra costs consume the value.

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Cash conversion, customer credit and financing

Supplemental non-GAAP measures

Adjusted free cash flow

$ in millions	2Q26	3Q26	4Q26	1Q27	2Q27
Cash flow from operations	**2,543**	**1,172**	**4,674**	**4,081**	**2,225**
Adjustments:					
Capital expenditures and capitalized software development costs, net [1]	(675)	(666)	(721)	(963)	(1,239)
Free cash flow	**1,868**	**506**	**3,953**	**3,118**	**986**
Adjustments:					
Financing receivables [2]	592	1,135	1,036	(263)	6,667
Equipment under operating leases [3]	58	29	99	310	496
Adjusted free cash flow	**2,518**	**1,670**	**5,088**	**3,165**	**8,149**

[1] Capital expenditures and capitalized software development costs, net includes proceeds from sales of facilities, land, and other assets.
[2] Financing receivables represent the operating cash flow impact from the change in DFS financing receivables.
[3] Equipment under operating leases represents the net change of capital expenditures and depreciation expense for DFS leases and contractually embedded leases identified within flexible consumption arrangements.

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Dell fiscal Q2 2027 performance review, original page 37. Conventional free cash flow is 986 million dollars; adjusted free cash flow adds financing-receivable and leased-equipment adjustments. The adjusted measure is not all unencumbered buyback cash.

Fiscal Q2 cash measure	USD million
Operating cash flow	2,225
Capex / capitalized software, net	-1,239
Conventional free cash flow	986
Financing-receivables addback	6,667
Lease-equipment adjustment	496

Fiscal Q2 cash measure	USD million
Adjusted free cash flow	8,149
Cash plus long-term investments	14,248
Total debt principal, approximate	34,700
Core debt, approximate	14,000
DFS-related debt, approximate	20,700
DFS financing receivables, approximate	20,400

AI deployments can consume inventory and financing cash before collection. Financing receivables increased sharply, and revenue is concentrated among large customers. A noncancelable contract supports order quality but does not remove credit and funding risk. Comparing core debt alone with all company cash would omit the financing operation.

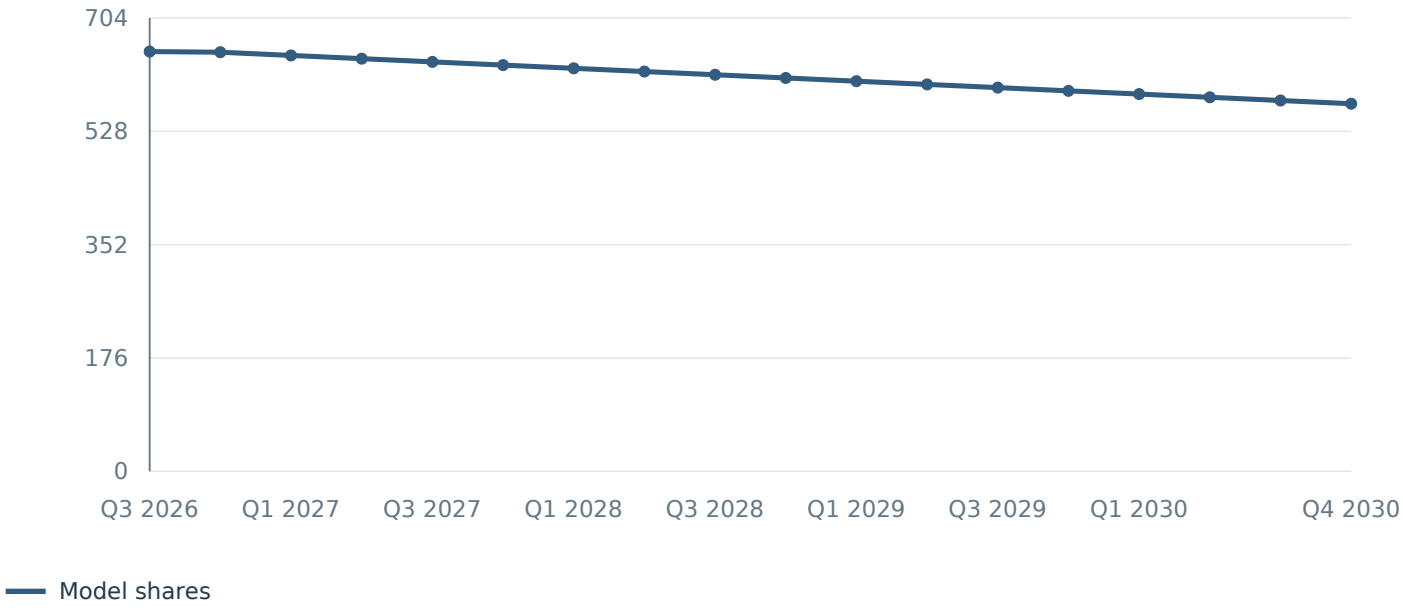
The analysis keeps conventional cash generation, financing-receivable funding and adjusted cash metrics separate. Inventory and accounts payable timing can help or hurt cash conversion. Revenue and operating-profit growth do not automatically fund the modeled share retirement.

All-class shares and capital-return discipline

Actual weighted diluted shares were 652 million; next-quarter guidance is approximately 651 million. Actual outstanding economic shares include Classes A, B and C. Using only Class C float would understate the denominator. One-for-one class conversions do not add economic shares.

Forecast all-class diluted-equivalent share path

Millions of diluted-equivalent shares



Q3 2026 is actual weighted diluted shares; Q4 is guidance-anchored. Later five-million quarterly net retirement is a LOW-confidence, cash-dependent assumption, not a company guarantee.

Quarter	Shares, million	Status
Q3 2026	652	Actual
Q4 2026	651	Guide proxy
Q1 2027	646	Net-retirement assumption
Q2 2027	641	Net-retirement assumption
Q3 2027	636	Net-retirement assumption
Q4 2027	631	Net-retirement assumption
Q1 2028	626	Net-retirement assumption
Q2 2028	621	Net-retirement assumption
Q3 2028	616	Net-retirement assumption
Q4 2028	611	Net-retirement assumption
Q1 2029	606	Net-retirement assumption
Q2 2029	601	Net-retirement assumption
Q3 2029	596	Net-retirement assumption
Q4 2029	591	Net-retirement assumption
Q1 2030	586	Net-retirement assumption

Quarter	Shares, million	Status
Q2 2030	581	Net-retirement assumption
Q3 2030	576	Net-retirement assumption
Q4 2030	571	Net-retirement assumption

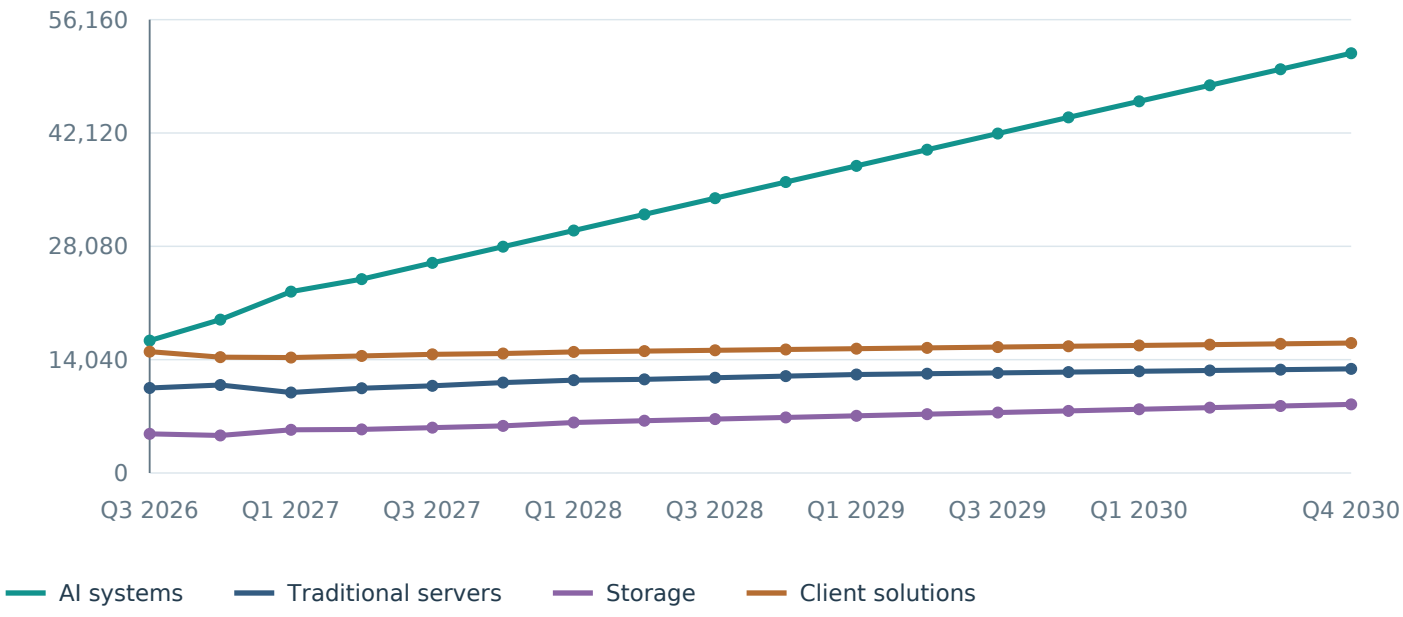
An illustrative repurchase price of $500 would require $2,500 million per quarter to retire five million net shares, before dividends and employee-equity offsets. This is a capital-budget illustration, not a forecast share price. The path depends on cash, financing needs, buyback execution and dilution.

The active ceiling uses 631 million starting-quarter shares. A flat 651 million forward denominator produces the separate sensitivity shown later. Share retirement is not used to mask an operating shortfall.

Quarterly revenue by product: 18 operating quarters

Recognized receipts by product

USD millions



First quarter is reported actual product receipts. Remaining quarters are LOW-confidence forecasts; near-term fiscal totals reconcile to guidance. Other revenue appears in the table and is outside plotted product series.

Quarter	AI	Traditional	Storage	Client	Other	Total
Q3 2026	16,401	10,531	4,850	15,034	155	46,971
Q4 2026	19,000	10,900	4,650	14,350	100	49,000

Quarter	AI	Traditional	Storage	Client	Other	Total
Q1 2027	22,467	9,970	5,350	14,300	100	52,187
Q2 2027	24,015	10,500	5,400	14,500	100	54,515
Q3 2027	26,033	10,800	5,617	14,700	100	57,249
Q4 2027	28,035	11,200	5,835	14,800	100	59,970
Q1 2028	30,038	11,500	6,256	15,000	100	62,893
Q2 2028	32,040	11,600	6,477	15,100	100	65,317
Q3 2028	34,043	11,800	6,679	15,200	100	67,822
Q4 2028	36,045	12,000	6,882	15,300	100	70,327
Q1 2029	38,048	12,200	7,084	15,400	100	72,832
Q2 2029	40,050	12,300	7,286	15,500	100	75,236
Q3 2029	42,053	12,400	7,489	15,600	100	77,641
Q4 2029	44,055	12,500	7,691	15,700	100	80,046
Q1 2030	46,043	12,600	7,894	15,800	100	82,437
Q2 2030	48,030	12,700	8,096	15,900	100	84,826
Q3 2030	50,016	12,800	8,298	16,000	100	87,214
Q4 2030	52,000	12,900	8,501	16,100	100	89,601

Beyond fiscal 2027 guidance, the model retains a large system-wallet capture case. AI receipts around $200 billion by calendar 2030 are a LOW-confidence company forecast rather than management guidance. Dollar growth can reflect delivered units, richer configurations or purchased-content inflation; no unsupported unit or ASP series is fabricated.

AI systems: full quarterly cost and profit detail

The first row is constrained to reported segment totals, with estimated product allocation where Dell does not disclose it. All subsequent product gross and operating margins are explicit model estimates. Revenue includes only the relevant storage or premium contribution, with manufacturing and incremental operating costs retained.

Quarter	Revenue	Gross profit	Opex	OP	OP margin
Q3 2026	16,401	1,394	492	902	6%
Q4 2026	19,000	1,282	502	780	4%

Quarter	Revenue	Gross profit	Opex	OP	OP margin
Q1 2027	22,467	1,525	528	997	4%
Q2 2027	24,015	1,931	722	1,209	5%
Q3 2027	26,033	2,104	785	1,320	5%
Q4 2027	28,035	2,266	845	1,421	5%
Q1 2028	30,038	2,428	906	1,523	5%
Q2 2028	32,040	2,590	966	1,624	5%
Q3 2028	34,043	2,752	1,026	1,726	5%
Q4 2028	36,045	2,914	1,087	1,827	5%
Q1 2029	38,048	3,076	1,147	1,929	5%
Q2 2029	40,050	3,238	1,208	2,030	5%
Q3 2029	42,053	3,399	1,268	2,132	5%
Q4 2029	44,055	3,561	1,328	2,233	5%
Q1 2030	46,043	3,712	1,386	2,326	5%
Q2 2030	48,030	3,863	1,445	2,418	5%
Q3 2030	50,016	4,012	1,502	2,509	5%
Q4 2030	52,000	4,160	1,560	2,600	5%

Actual source precision constrains aggregate segment values, not the unreported AI/traditional/storage split. Later rates and product capture remain LOW confidence. The model's source and calibration register identifies the numerical assumptions.

Traditional servers and networking: full quarterly cost and profit detail

Quarter	Revenue	Gross profit	Opex	OP	OP margin
Q3 2026	10,531	3,581	1,369	2,212	21%
Q4 2026	10,900	3,515	1,248	2,267	21%
Q1 2027	9,970	3,219	1,016	2,203	22%
Q2 2027	10,500	3,518	1,365	2,153	21%
Q3 2027	10,800	3,618	1,404	2,214	21%
Q4 2027	11,200	3,752	1,456	2,296	21%
Q1 2028	11,500	3,853	1,495	2,358	21%
Q2 2028	11,600	3,886	1,508	2,378	21%
Q3 2028	11,800	3,953	1,534	2,419	21%
Q4 2028	12,000	4,020	1,560	2,460	21%
Q1 2029	12,200	4,087	1,586	2,501	21%
Q2 2029	12,300	4,121	1,599	2,522	21%
Q3 2029	12,400	4,154	1,612	2,542	21%
Q4 2029	12,500	4,188	1,625	2,563	21%
Q1 2030	12,600	4,221	1,638	2,583	21%
Q2 2030	12,700	4,255	1,651	2,604	21%
Q3 2030	12,800	4,288	1,664	2,624	21%
Q4 2030	12,900	4,322	1,677	2,645	21%

Storage: full quarterly cost and profit detail

Quarter	Revenue	Gross profit	Opex	OP	OP margin
Q3 2026	4,850	2,538	871	1,667	34%
Q4 2026	4,650	2,352	735	1,617	35%
Q1 2027	5,350	2,709	753	1,955	37%
Q2 2027	5,400	2,799	970	1,830	34%
Q3 2027	5,617	2,912	1,009	1,903	34%
Q4 2027	5,835	3,026	1,048	1,977	34%
Q1 2028	6,256	3,245	1,125	2,120	34%
Q2 2028	6,477	3,360	1,165	2,195	34%
Q3 2028	6,679	3,465	1,201	2,264	34%
Q4 2028	6,882	3,570	1,237	2,332	34%
Q1 2029	7,084	3,675	1,274	2,401	34%
Q2 2029	7,286	3,780	1,310	2,470	34%
Q3 2029	7,489	3,885	1,347	2,538	34%
Q4 2029	7,691	3,990	1,383	2,607	34%
Q1 2030	7,894	4,095	1,419	2,675	34%
Q2 2030	8,096	4,200	1,456	2,744	34%
Q3 2030	8,298	4,305	1,492	2,813	34%
Q4 2030	8,501	4,410	1,529	2,881	34%

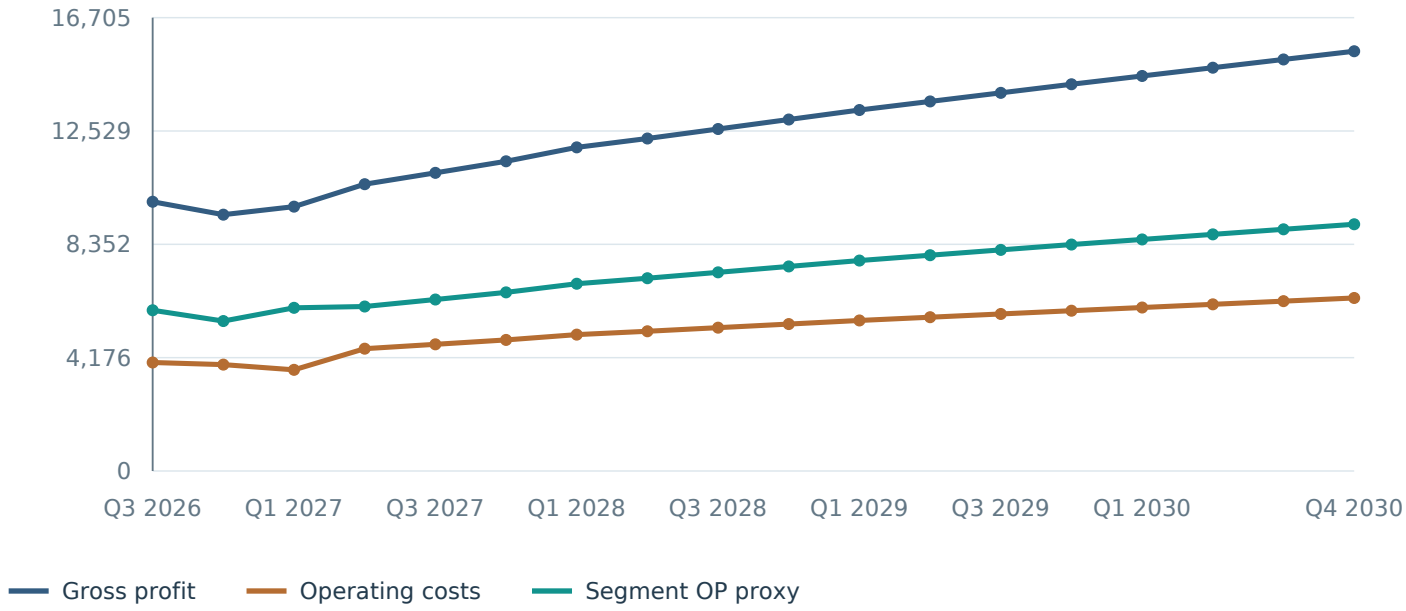
Client solutions: full quarterly cost and profit detail

Quarter	Revenue	Gross profit	Opex	OP	OP margin
Q3 2026	15,034	2,408	1,266	1,142	8%
Q4 2026	14,350	2,296	1,435	861	6%
Q1 2027	14,300	2,288	1,430	858	6%
Q2 2027	14,500	2,320	1,450	870	6%
Q3 2027	14,700	2,352	1,470	882	6%
Q4 2027	14,800	2,368	1,480	888	6%
Q1 2028	15,000	2,400	1,500	900	6%
Q2 2028	15,100	2,416	1,510	906	6%
Q3 2028	15,200	2,432	1,520	912	6%
Q4 2028	15,300	2,448	1,530	918	6%
Q1 2029	15,400	2,464	1,540	924	6%
Q2 2029	15,500	2,480	1,550	930	6%
Q3 2029	15,600	2,496	1,560	936	6%
Q4 2029	15,700	2,512	1,570	942	6%
Q1 2030	15,800	2,528	1,580	948	6%
Q2 2030	15,900	2,544	1,590	954	6%
Q3 2030	16,000	2,560	1,600	960	6%
Q4 2030	16,100	2,576	1,610	966	6%

Consolidated proxy: gross profit less operating costs

Segment-basis gross profit, opex and OP

USD millions, segment-based model



First period ties to ISG+CSG actual costs; future periods are modeled. GP less opex equals valued OP. Actual other OP and corporate adjustments are reconciled separately, not silently included.

Quarter	Gross profit	Opex	OP
Q3 2026	9,921	3,998	5,923
Q4 2026	9,445	3,920	5,525
Q1 2027	9,741	3,728	6,013
Q2 2027	10,568	4,507	6,061
Q3 2027	10,987	4,668	6,319
Q4 2027	11,412	4,830	6,582
Q1 2028	11,925	5,025	6,900
Q2 2028	12,252	5,149	7,103
Q3 2028	12,602	5,281	7,320
Q4 2028	12,952	5,414	7,537
Q1 2029	13,301	5,547	7,755

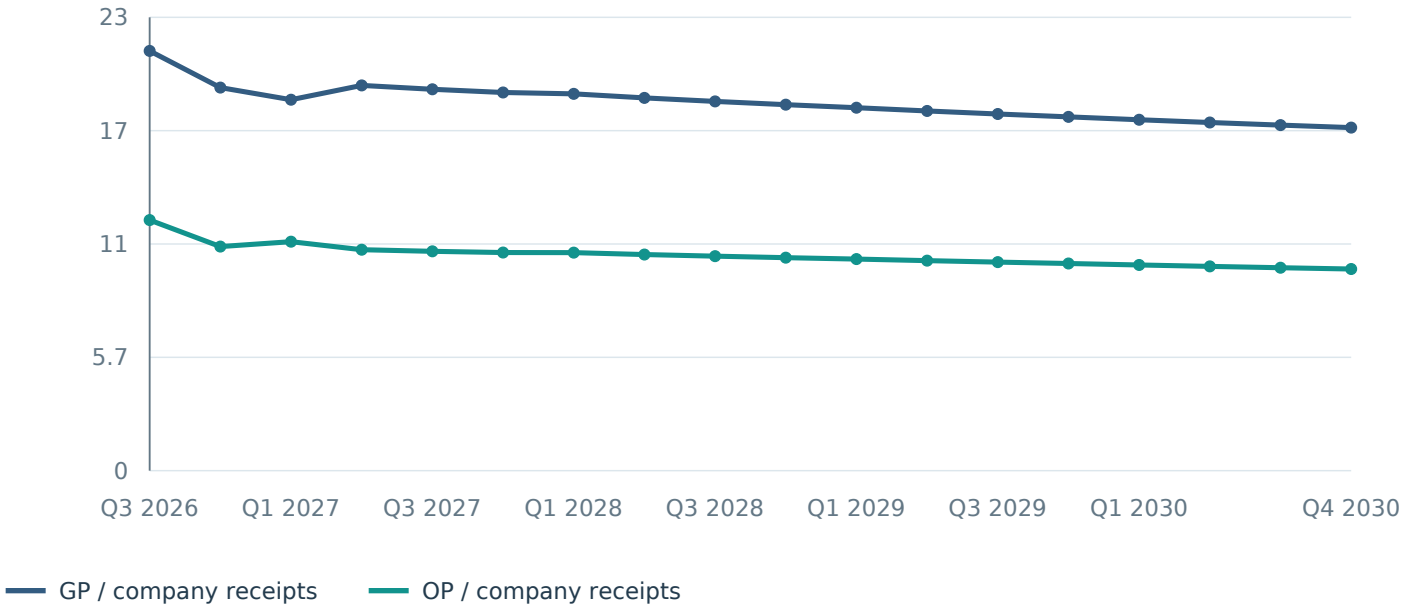
Quarter	Gross profit	Opex	OP
Q2 2029	13,618	5,667	7,951
Q3 2029	13,934	5,786	8,148
Q4 2029	14,251	5,906	8,344
Q1 2030	14,556	6,024	8,532
Q2 2030	14,861	6,141	8,720
Q3 2030	15,165	6,259	8,906
Q4 2030	15,467	6,376	9,092

Product GP is the revenue left after manufacturing/procurement costs; operating costs include modeled engineering, R&D, field support and selling. Additional component pressure is subtracted through the post-guidance manufacturing allowance. The finite premium and storage attach also carry explicit extra costs.

Margins, mix and the quarterly operating table

Segment-model gross and operating margins

Percent of company receipts



These are segment-model ratios using company revenue including other receipts. They are not labeled consolidated GAAP margins. AI mix can grow revenue faster than GP and dilute the aggregate ratio.

Quarter	Proxy GP margin %	Proxy OP margin %
Q3 2026	21	13
Q4 2026	19	11
Q1 2027	19	12
Q2 2027	19	11
Q3 2027	19	11
Q4 2027	19	11
Q1 2028	19	11
Q2 2028	19	11
Q3 2028	19	11
Q4 2028	18	11
Q1 2029	18	11
Q2 2029	18	11
Q3 2029	18	10
Q4 2029	18	10
Q1 2030	18	10
Q2 2030	18	10
Q3 2030	17	10
Q4 2030	17	10

Calendar quarter	Status	Revenue	OP margin	OP	Main driver	Conf.
Q3 2026	Actual	46,971	13%	5,923	Reported segment costs	HIGH totals; LOW split
Q4 2026	Model	49,000	11%	5,525	Guide-constrained costs	LOW
Q1 2027	Model	52,187	12%	6,013	Guide-constrained costs	LOW
Q2 2027	Model	54,515	11%	6,061	AI mix, storage and cost rates	LOW
Q3 2027	Model	57,249	11%	6,319	AI mix, storage and cost rates	LOW
Q4 2027	Model	59,970	11%	6,582	AI mix, storage and cost rates	LOW

Calendar quarter	Status	Revenue	OP margin	OP	Main driver	Conf.
Q1 2028	Model	62,893	11%	6,900	AI mix, storage and cost rates	LOW
Q2 2028	Model	65,317	11%	7,103	AI mix, storage and cost rates	LOW
Q3 2028	Model	67,822	11%	7,320	AI mix, storage and cost rates	LOW
Q4 2028	Model	70,327	11%	7,537	AI mix, storage and cost rates	LOW
Q1 2029	Model	72,832	11%	7,755	AI mix, storage and cost rates	LOW
Q2 2029	Model	75,236	11%	7,951	AI mix, storage and cost rates	LOW
Q3 2029	Model	77,641	10%	8,148	AI mix, storage and cost rates	LOW
Q4 2029	Model	80,046	10%	8,344	AI mix, storage and cost rates	LOW
Q1 2030	Model	82,437	10%	8,532	AI mix, storage and cost rates	LOW
Q2 2030	Model	84,826	10%	8,720	AI mix, storage and cost rates	LOW
Q3 2030	Model	87,214	10%	8,906	AI mix, storage and cost rates	LOW
Q4 2030	Model	89,601	10%	9,092	AI mix, storage and cost rates	LOW

Calendar period-end bucket	Dell fiscal mapping
Q1 of year Y	Fiscal Q4 of FY Y
Q2 of year Y	Fiscal Q1 of FY Y+1
Q3 of year Y	Fiscal Q2 of FY Y+1
Q4 of year Y	Fiscal Q3 of FY Y+1

Active probability ledger and quarterly contributions

Hypothesis	Probability / source	Company bridge / overlap / cost
AI data-platform attach	60%; October 6 product availability, September storage/IP commentary	20% eligible storage x 20% extra attach x 50% non-overlap, then probability and staged recognition.55% GP less 20% extra opex.
Deployment premium	50%; September 9/10 management discussion	25% newly priced AI receipts x 1% premium, then probability and timing/fade.40% total incremental costs; fixed backlog excluded.
Backlog conversion	85%; September 1/10 company evidence	Zero separate receipts: existing fiscal AI forecast already requires conversion. Backlog/pipeline cannot be added as another sales pool.
SpaceX read-through	50%; relationship already named in May	Zero separate increment after attempted eligible systems x wallet x share x acceptance bridge. No new cohort or Dell allocation established beyond reference.
IREN supply agreement	90%; May customer filing	Zero new increment: prior equipment contract already within order/reference context. Customer cloud revenue is a separate economic layer.
Supply readiness	75%; September company evidence group	No second volume shock. Current receipts, manufacturing cost allowance and bounded premium jointly address matched-parts/timing evidence.

Probabilities are subjective economic judgments, not measured frequencies. Company statements across its own events are correlated evidence rather than independent confirmation. Existing receipt growth and costs remain active; probabilities apply only to the defined increments, not to the whole company or the final ceiling.

Quarter	Storage receipts increment	Storage OP increment	Premium receipts increment	Premium OP increment
Q3 2026	0	0	0	0
Q4 2026	0	0	0	0
Q1 2027	0	0	0	0
Q2 2027	0	0	15	9
Q3 2027	17	6	33	20
Q4 2027	35	12	35	21
Q1 2028	56	20	38	23
Q2 2028	77	27	40	24
Q3 2028	79	28	43	26
Q4 2028	82	29	45	27

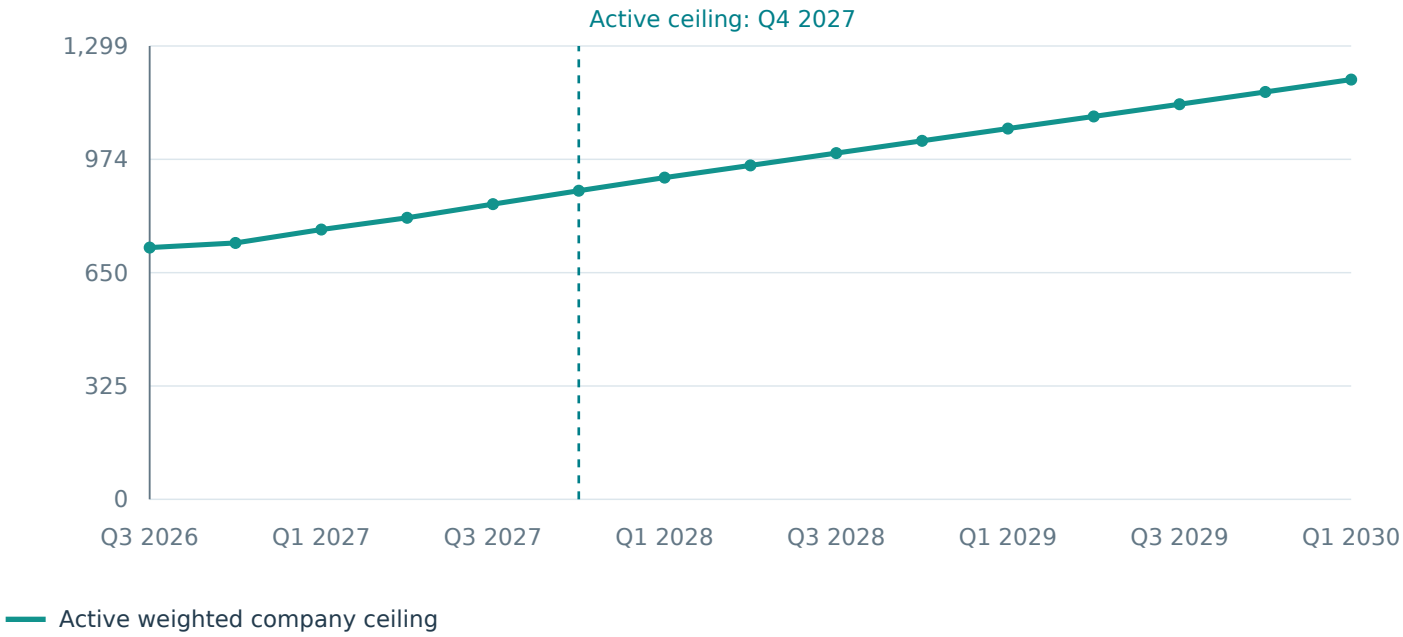
Quarter	Storage receipts increment	Storage OP increment	Premium receipts increment	Premium OP increment
Q1 2029	84	29	48	29
Q2 2029	86	30	50	30
Q3 2029	89	31	53	32
Q4 2029	91	32	55	33
Q1 2030	94	33	43	26
Q2 2030	96	34	30	18
Q3 2030	98	34	16	9
Q4 2030	101	35	0	0

Storage attach remains bounded by its eligible cohort through the modeled horizon; no perpetual extrapolation beyond 2030 is claimed. The separate deployment premium explicitly fades to zero by the last modeled quarter.

Quarterly ceiling path and method

Rolling forward-four-quarter operating ceiling

USD per share



One probability-weighted operating case under 20x segment-based OP. Each ceiling uses its exact four-quarter window and starting-quarter all-class diluted-equivalent shares. No price or analyst-target overlay.

Ceiling quarter	Forward OP, USD m	Multiple	Shares, million	Ceiling, USD
Q3 2026	23,522	20	652	722
Q4 2026	23,918	20	651	735
Q1 2027	24,975	20	646	773
Q2 2027	25,862	20	641	807
Q3 2027	26,904	20	636	846
Q4 2027	27,906	20	631	884
Q1 2028	28,861	20	626	922
Q2 2028	29,715	20	621	957
Q3 2028	30,563	20	616	992
Q4 2028	31,391	20	611	1,028
Q1 2029	32,198	20	606	1,063
Q2 2029	32,975	20	601	1,097

Ceiling quarter	Forward OP, USD m	Multiple	Shares, million	Ceiling, USD
Q3 2029	33,744	20	596	1,132
Q4 2029	34,502	20	591	1,168
Q1 2030	35,249	20	586	1,203

The active Q4 2027 window prices Q4 2027 through Q3 2028. A calendar horizon roll changes which existing ceiling is selected, independently of operating revisions. The company's fiscal/calendar mapping and starting-quarter diluted-share convention remain fixed.

All 15 exact valuation windows and chains

Ceiling quarter	Exact four-quarter window	Forward OP, USD m	Multiple	Shares, m	Ceiling, USD
Q3 2026	Q3 2026 to Q2 2027	23,522	20	652	722
Q4 2026	Q4 2026 to Q3 2027	23,918	20	651	735
Q1 2027	Q1 2027 to Q4 2027	24,975	20	646	773
Q2 2027	Q2 2027 to Q1 2028	25,862	20	641	807
Q3 2027	Q3 2027 to Q2 2028	26,904	20	636	846
Q4 2027	Q4 2027 to Q3 2028	27,906	20	631	884
Q1 2028	Q1 2028 to Q4 2028	28,861	20	626	922
Q2 2028	Q2 2028 to Q1 2029	29,715	20	621	957
Q3 2028	Q3 2028 to Q2 2029	30,563	20	616	992
Q4 2028	Q4 2028 to Q3 2029	31,391	20	611	1,028
Q1 2029	Q1 2029 to Q4 2029	32,198	20	606	1,063
Q2 2029	Q2 2029 to Q1 2030	32,975	20	601	1,097
Q3 2029	Q3 2029 to Q2 2030	33,744	20	596	1,132
Q4 2029	Q4 2029 to Q3 2030	34,502	20	591	1,168
Q1 2030	Q1 2030 to Q4 2030	35,249	20	586	1,203

For every row, sum the four segment-proxy operating-profit quarters, multiply by 20 and divide by the starting-quarter shares. Amounts and shares are both in millions, so no additional thousand-fold unit conversion is needed. No net-income, net-debt or second probability adjustment is inserted.

Ceiling quarter	Four constituent OP quarters, USD million	Arithmetic chain
Q3 2026	5,923 + 5,525 + 6,013 + 6,061	23,522 x 20 / 652 = 722
Q4 2026	5,525 + 6,013 + 6,061 + 6,319	23,918 x 20 / 651 = 735
Q1 2027	6,013 + 6,061 + 6,319 + 6,582	24,975 x 20 / 646 = 773
Q2 2027	6,061 + 6,319 + 6,582 + 6,900	25,862 x 20 / 641 = 807
Q3 2027	6,319 + 6,582 + 6,900 + 7,103	26,904 x 20 / 636 = 846
Q4 2027	6,582 + 6,900 + 7,103 + 7,320	27,906 x 20 / 631 = 884
Q1 2028	6,900 + 7,103 + 7,320 + 7,537	28,861 x 20 / 626 = 922
Q2 2028	7,103 + 7,320 + 7,537 + 7,755	29,715 x 20 / 621 = 957
Q3 2028	7,320 + 7,537 + 7,755 + 7,951	30,563 x 20 / 616 = 992
Q4 2028	7,537 + 7,755 + 7,951 + 8,148	31,391 x 20 / 611 = 1,028
Q1 2029	7,755 + 7,951 + 8,148 + 8,344	32,198 x 20 / 606 = 1,063
Q2 2029	7,951 + 8,148 + 8,344 + 8,532	32,975 x 20 / 601 = 1,097
Q3 2029	8,148 + 8,344 + 8,532 + 8,720	33,744 x 20 / 596 = 1,132
Q4 2029	8,344 + 8,532 + 8,720 + 8,906	34,502 x 20 / 591 = 1,168
Q1 2030	8,532 + 8,720 + 8,906 + 9,092	35,249 x 20 / 586 = 1,203

Annual cross-check and material sensitivities

Calendar year	Revenue	Gross profit	Opex	OP
2027	223,921	42,708	17,733	24,975
2028	266,358	49,730	20,869	28,861
2029	305,755	55,104	22,906	32,198
2030	344,078	60,049	24,799	35,249

Calendar year	OP margin	Storage extra receipts	Premium extra receipts
2027	11%	52	83
2028	11%	293	165
2029	11%	350	205
2030	10%	389	89

Calendar annual totals are cross-checks, not fiscal-year guidance. Calendar 2027 includes a guided-year final quarter and three later fiscal quarters; it must not be compared directly to the fiscal 2027 revenue midpoint.

Diagnostic	Q4 2027 ceiling, USD	Interpretation
No new attach or premium	879	Removes only the two newly modeled increments; full company reference remains.
AI5pctOP	878	Alternative product calibration also adjusts storage residual to preserve actual ISG costs; not a one-variable derivative.
AI6pctOP	891	Alternative product calibration also adjusts storage residual to preserve actual ISG costs; not a one-variable derivative.
Traditional 18pctOP	892	Alternative product calibration also adjusts storage residual to preserve actual ISG costs; not a one-variable derivative.
Traditional 24pctOP	877	Alternative product calibration also adjusts storage residual to preserve actual ISG costs; not a one-variable derivative.
Zero procurement allowance	915	Manufacturing-cost allowance sensitivity; other product rates retained.
Double procurement allowance	854	Manufacturing-cost allowance sensitivity; other product rates retained.
Flat 651M future shares	857	Active operating case with a flat 651 million future denominator.

The most important uncertainty is product profitability and future capture, not the small added attach or premium alone. The share path also needs funding. These diagnostics do not represent the full downside from a weaker AI order cycle, customer default or lost competitive position.

Scorecard and four scored risks

Category	Points / maximum	Evidence and constraint
Core thesis	15 / 20	Procurement, integration and enterprise service advantages; customer bypass and direct competitors limit capture.
Cycle stage	10 / 10	Actual conversion and credit-vetted backlog support the current expansion, with matched-parts and acceptance constraints.
TAM expansion	8 / 10	AI systems, enterprise storage and agentic workloads expand the eligible wallet; component and system pools overlap.
Catalysts	5 / 5	Next fiscal earnings, parts/acceptance conversion and named data-platform releases.
Macro	9 / 10	High AI infrastructure investment supports demand; customer financing and grid readiness remain required.
Alpha	2 / 5	Separating product profitability, working capital and complete-system pass-through is more informative than headline orders.
Risks	-4	Four separately scored classes: financing/counterparty, execution/supply, competition/capture and accounting/model uncertainty.
Total	45 /60 =75%	Analytical score. Protected Excel Base 75 remains separate.

The strong cycle score reflects actual sales and substantial reviewed backlog. Core quality reflects procurement, integration and service capability, with customer bypass and direct competitors limiting exclusivity. TAM includes enterprise data and workloads, while avoiding double counting complete systems and components. The modest alpha score reflects a widely followed company with difficult product-margin identification.

Risk class	Deduction	Transmission to shareholder economics
Financing / counterparty	-1	Customer concentration, receivables funding and credit loss can impair collection and buyback capacity.
Execution / supply	-1	Missing matched parts, acceptance slips and expediting costs constrain shipments and margins.
Competition / capture	-1	ODMs, branded rivals or customer integration can reduce eligible system wallet and price realization.
Accounting / model uncertainty	-1	Unreported product split, corporate exclusions and cash-dependent shares can overstate comparable earnings if mislabeled.

The score measures thesis quality. It is not the probability of a backlog contract, product launch or price premium and is not applied again to operating profit or the ceiling.

Dated tests, counters and re-rate triggers

Observation / timing	Evidence that raises confidence	Counter or reduction trigger
Next fiscal results and guide	Matched system conversion, storage mix and company cost guidance support the forecast.	Backlog aging, delayed acceptance, lower guide or margin pressure.
November-December 2026 releases	Announced storage/data-processing features ship with customer adoption and a priced wallet.	Launch slips or selected internal benchmarks fail to translate into useful customer demand.
First-half 2027 platform availability	Semantic/data-agent functionality becomes available; eligible attach is visible beyond the existing growth path.	Unpriced trials persist; adoption remains inside baseline hardware purchases or support costs exceed the assumed economics.
2027 supply and deployment	Four-to-six-week advantage persists on comparable systems and newly priced contracts show a premium.	Customers refuse pricing, rivals close the gap or overtime/expediting absorbs the premium.
Each quarter: cash and credit	Conventional cash collection and funded financing support net retirement without stressing the balance sheet.	Adjusted cash remains strong only through receivable addbacks; customer defaults or funding pressure.
Each quarter: shares	All-class diluted-equivalent denominator follows the funded schedule.	Buybacks slow or compensation issuance offsets retirements.
2030 premium fade	The model removes the short-lived benefit as competition catches up.	A durable premium needs new incremental evidence; do not extend the current assumption automatically.

Update both favorable and unfavorable evidence. Repeated management commentary about the same contracts is not another order pool. New evidence should change only the affected receipts, cost, timing, financing or share assumptions while retaining the sanctioned valuation method.

Cross-book relationships and watch pairs

Names / relationship	Economic connection	Company-specific watch
NVDA / AMD / Intel	Accelerators and CPUs are purchased content inside systems.	Dell shipment value includes supplier content; processor share changes alter mix and wallet rather than creating two full system pools.
MU / Samsung / SK hynix / storage suppliers	DRAM, NAND and disks can raise configuration value and input cost.	Track matched supply, price pass-through, customer de-specification and segment margin. Supplier pricing power can pressure the integrator.
IREN / SpaceX / neocloud customers	Deployments may buy systems, financing and services.	Credit-vetted accepted sales and captured hardware content matter; cloud-services contract value belongs to another layer.
HPE / Supermicro / Lenovo / ODMs	Alternative systems, direct procurement and enterprise routes.	Time-to-operation, total cost, service scope and priced product mix test Dell differentiation.
Networking / power / cooling suppliers	Complete AI racks require matched components and facility readiness.	One missing part can defer a full system. Do not infer deliveries from generic capex alone.
Enterprise storage competitors	Data preparation, context and management compete across architectures.	Dell-IP attach and customer adoption, rather than internal benchmark headlines, test incremental profit capture.

The paired cross-watch is component scarcity versus Dell pass-through and acceptance: strong memory/networking demand can help system revenue while hurting delivery timing or margin. Customer and supplier revenues are linked stages, not additive definitions of the same market.

Sources, limits and reproducible model identity

Original source	Date	Coverage / scope
Q2_FY27_Transcript.pdf	2026-09-01	Latest issuer call,26 pages. Research packet includes prepared remarks and Q&A.
Q2_FY27_Performance_Review.pdf	2026-09-01	Current results, guide and original exhibits embedded beside analysis.
Q2_FY27_Financial_Tables.pdf	2026-09-01	Reported financial and non-GAAP reconciliation tables.
Q2_FY27_10Q.html	2026-09-08	Latest filing: exact segment costs, share classes, financing and credit risk.
Q1_FY27_Transcript.pdf	2026-05-28	Previous issuer call,14 pages. Research packet includes prepared remarks and Q&A.
FY26_10K.html	2026-03-16	Fiscal annual product baseline, accounting and competition.
Citi_Conference_Transcript.pdf	2026-09-10	10 September CFO remarks: margin, supply terms, backlog quality and deployment.
Goldman_Sachs_Conference_Transcript.pdf	2026-09-09	9 September CEO remarks: deployment, supply and customer economics.
Dell_AI_Data_Platform_20261006.html	2026-10-06	6 October product announcement and forward availability; internal tests are limited benchmarks.
IREN_Dell_Purchase_Agreement_20260526_8K.html	2026-05-26	Customer filing on the earlier Dell equipment purchase; not a new October award.

The research packet contains both latest issuer earnings transcripts and the two September conferences. No independent full-audio review is claimed. Exact financial and cost tables anchor the calculations. Original PDFs, HTML, figures, dates and hashes are retained; source content is evidence rather than an instruction to the modeler.

Unresolved inputs include product-level GP/opex, customer-specific complete-system wallet, priced attach, actual deployment premium, later component terms and funded share retirement. These are LOW-confidence assumptions with explicit costs, overlap, timing and counters. An optional later IREN release original-download gap does not support any new Dell forecast.

Model identity: Dell Technologies Inc.,21 October2026, active ceilingQ4 2027. This report and its editable source use the same operating and ceiling values. Exact integrity bindings are retained in the model and report manifest. Recoverable history remains outside this clean-state report.

Display convention: whole-number reader tables and valuation-chain components are rounded. Exact quarter values, probabilities, shares and valuation arithmetic remain unchanged in the bound structured model and linked workbook. Rounded constituents may not sum to a rounded total.